



**ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2014**

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CORPORATE INFORMATION

DIRECTORS J P M Ndegwa - Chairman F M Mbiru - Vice Chairman J Gachora - Group Managing Director* A Dodd* ^ G A Maina F N Mwanzia A S M Ndegwa I Ochola-Wilson M L Somen P V Shah K Thuo E N Ngaine *Executive directors ^British	AUDIT COMMITTEE F N Mwanzia - Chairman F M Mbiru I Ochola-Wilson K Thuo NOMINATIONS COMMITTEE G A Maina - Chairman J P M Ndegwa A S M Ndegwa P V Shah
CREDIT RISK COMMITTEE F M Mbiru - Chairman F N Mwanzia A S M Ndegwa M L Somen P V Shah	HUMAN RESOURCES AND COMPENSATION COMMITTEE I Ochola-Wilson - Chairman F M Mbiru A S M Ndegwa
EXECUTIVE COMMITTEE A S M Ndegwa - Chairman G A Maina M L Somen P V Shah	REGISTERED OFFICE NIC House Masaba Road P O Box 44599-00100 Nairobi
RISK MANAGEMENT COMMITTEE G A Maina - Chairman F M Mbiru I Ochola-Wilson	REGISTRARS AND TRANSFERS OFFICE Custody & Registrars Services Limited 6th Floor, Bruce House, Standard Street P O Box 8484-00100 Nairobi
GROUP COMPANY SECRETARY L Murage Certified Public Secretary (Kenya) NIC House, Masaba Road P O Box 44599-00100 Nairobi	AUDITOR PricewaterhouseCoopers Certified Public Accountants (Kenya) PwC Tower Waiyaki Way/Chiromo Road, Westlands P O Box 43963-00100 Nairobi

DIRECTORS' REPORT

The Board of Directors has pleasure in submitting the annual report together with the audited financial statements for the year ended 31 December 2014 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of NIC Bank Limited (the "Bank"/"Company") and its subsidiaries (together, the "Group").

1. ACTIVITIES

The principal activities of the Group are the provision of retail and corporate banking, stock brokerage, bancassurance and investment banking services.

2. RESULTS FOR THE YEAR

The Group profit for the year of Shs 4,116,674,000 (2013: Shs 3,237,301,000) has been added to retained earnings.

3. MEDIUM TERM NOTE /BOND

The Bank launched a Shs 8 billion Subordinated Medium Term Note Programme with the first tranche of Shs 3 billion being issued in 2014. The first tranche received offers in excess of Shs 6.5 billion and the Board of Directors approved the allotment upsized to Shs 5.5 billion. The balance of the Medium Term Note will be issued within the next 5 years.

4. RIGHTS ISSUE

Following Shareholders' approval during the Extraordinary General Meeting held on 6 August 2014 and subsequent receipt of the necessary regulatory approvals, the Bank undertook a Rights Issue of one share for every fourteen shares held amounting to 42,663,040 shares at a discounted price of Shs 49.25 per share. The issue registered a 121% oversubscription and resulted in an increase of share capital by Shs 213,315,200 (Shs 5 per share) and share premium of Shs 1,887,839,520 (Shs 44.25 per share).

5. DIVIDENDS

No interim dividend was paid to shareholders in the year. The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 20 May 2015, the payment of a first and final dividend for the year of Shs 1.00 per share (2013: interim dividend of Shs 0.25 and final dividend of Shs 0.75). The dividend will be payable to the shareholders registered on the Company's register at the close of business on 9th April, 2015 and will be paid on or about 20th May 2015. The register will remain closed for one day on 10th April, 2015.

The total dividend for the year, therefore, is Shs 1.00 (2013: Shs 1.00) for every one ordinary share amounting to Shs 639,946,000 (2013: Shs 542,984,000).

6. NIC PROPERTIES LIMITED

In April 2014, the Bank acquired a 100% shareholding in Codicote Limited for a consideration of Shs 550 million. The sole asset of Codicote Limited is Land known as LR NO. 209/13628, which is adjacent to the headquarters of the Bank in Upperhill, Nairobi.

The company name of Codicote Limited was subsequently changed to NIC Properties Limited. The sole activity of NIC Properties Limited is the ownership of the above land.

DIRECTORS' REPORT (Continued)

7. NIC BANK TANZANIA LIMITED

In November 2013, the Board of Directors of the Bank approved full participation in the second Rights Issue of NIC Bank Tanzania Limited for TZShs 8.5 billion (Shs 714 million) and the take-up of any Rights that were not exercised by the other shareholders. NIC Bank Limited invested TZShs 5.6 billion (Shs 366 million) in December 2013 and an additional TZShs 302 million (Shs 16 million) in 2014 relating to Rights not taken up by minority shareholders. The Rights Issue was concluded on 30th June 2014 and the Bank's shareholding in NIC Bank Tanzania Limited increased from 68.97% to 69.84%.

8. DIRECTORS

The directors who held office during the year and to date are shown on page 2. In accordance with Articles 97 of the Articles of Association, Esther Nkatha Ngaine who was appointed as a Director on 18 June 2014 retires from office and being eligible, offers herself for re-election.

In accordance with articles 108, 109 and 110 of the Articles of Association, ML Somen, GA Maina and FN Mwanzia retire by rotation and, being eligible, offer themselves for re-election.

9. AUDITOR

The auditor, PricewaterhouseCoopers, has expressed its willingness to continue in office in accordance with Section 159(2) of the Companies Act (Cap.486).

10. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved and authorised for issue by the Board of Directors on 4th March 2015.

BY ORDER OF THE BOARD



L MURAGE
Group Company Secretary

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting and applying appropriate accounting policies; and
- (iii) Making accounting estimates and judgements that are reasonable in the circumstances.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial position of the Group and of the Bank at 31 December 2014 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the Board of Directors on 4th March 2015 and signed on its behalf by:



J P M NDEGWA
(Chairman)



J GACHORA
(Group Managing Director)



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC BANK LIMITED

Report on the consolidated financial statements

We have audited the accompanying financial statements of NIC Bank Limited (the "Bank") and its subsidiaries (together, the "Group"), set out on pages 8 to 102. These financial statements comprise the consolidated statement of financial position as at 31 December 2014 and the consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Bank standing alone at 31 December 2014 and the statements of profit or loss, comprehensive income, changes in equity and cash flows of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2014 and of the financial performance and cash flows of the Group and the Bank for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

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Partners: A Eriksson K Muchiru M Mugasa F Muriu P Ngahu A Njeru R Njoroge B Okundi K Saiti R Shah



**INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF NIC BANK LIMITED (Continued)**

Report on other legal requirements

As required by the Kenyan Companies Act we report to you based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
- iii) the Bank's statements of financial position and profit or loss account are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Kang'e Saiti – P/No 1652.

A handwritten signature in blue ink, appearing to read 'PricewaterhouseCoopers', written in a cursive style.

Certified Public Accountants
Nairobi

31 March 2015

STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED 31 DECEMBER 2014

Bank				Group	
2014	2013			2014	2013
Shs'000	Shs'000		Note	Shs'000	Shs'000
12,376,325	10,313,258	Interest income	7	13,711,068	11,642,416
(5,096,846)	(3,779,478)	Interest expense	8	(5,712,949)	(4,374,437)
7,279,479	6,533,780	NET INTEREST INCOME		7,998,119	7,267,979
(295,494)	(479,185)	Credit impairment charges	12 (c)	(329,133)	(1,092,873)
6,983,985	6,054,595	Net interest income after credit impairment charges		7,668,986	6,175,106
1,356,149	1,136,212	Fee and commission income	9	1,532,293	1,303,629
(52,283)	(52,323)	Fee and commission expense	9	(65,041)	(63,111)
1,303,866	1,083,889	NET FEE AND COMMISSION INCOME		1,467,252	1,240,518
1,344,782	1,229,908	Net trading income	10	1,448,056	1,363,033
286,131	253,995	Other operating income	11	592,831	551,656
9,918,764	8,622,387	NET OPERATING INCOME		11,177,125	9,330,313
(2,051,939)	(1,896,850)	Employee benefits	13	(2,560,942)	(2,367,508)
(391,854)	(363,966)	Depreciation and amortisation	14(a)	(504,635)	(446,106)
(1,393,690)	(1,140,714)	Other operating expenses	14(b)	(1,880,898)	(1,507,128)
(3,837,483)	(3,401,530)	OPERATING EXPENSES		(4,946,475)	(4,320,742)
6,081,281	5,220,857	PROFIT BEFORE INCOME TAX		6,230,650	5,009,571
(2,062,114)	(1,835,281)	Income tax expense	15(a)	(2,113,976)	(1,772,270)
4,019,167	3,385,576	PROFIT FOR THE YEAR		4,116,674	3,237,301
		Profit attributable to:			
4,019,167	3,385,576	Equity holders of the Bank		4,120,855	3,323,381
-	-	Non-controlling interests		(4,181)	(86,080)
4,019,167	3,385,576			4,116,674	3,237,301
		EARNINGS PER SHARE (SHS PER SHARE)			
Shs 6.90	Shs 6.24	- BASIC	16	Shs 7.07	Shs 6.12

The notes on pages 15 to 102 are an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2014

Bank				Group	
2014	2013			2014	2013
Shs'000	Shs'000		Note	Shs'000	Shs'000
4,019,167	3,385,576	PROFIT FOR THE YEAR		4,116,674	3,237,301
		OTHER COMPREHENSIVE INCOME:			
		<i>Items that will not be subsequently reclassified to profit or loss</i>			
-	39,243	Revaluation surplus on property	36(b)	-	39,243
		<i>Items that may be subsequently reclassified to profit or loss</i>			
		Fair value (loss)/ gain on available for sale financial assets, net of deferred tax	36(c)	(79,089)	(175,407)
7,166	(179,036)	Exchange differences on translation of foreign operations	36(d)	42,269	(122,324)
-	-				
7,166	(139,793)	OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX		(36,820)	(258,488)
4,026,333	3,245,783	TOTAL COMPREHENSIVE INCOME FOR THE YEAR		4,079,854	2,978,813
		Attributable to:			
4,026,333	3,245,783	Equity holders of the Bank		4,084,035	3,064,893
-	-	Non-controlling interests		(4,181)	(86,080)
4,026,333	3,245,783			4,079,854	2,978,813

The notes on pages 15 to 102 are an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2014

Bank			Group		
2014	2013		2014	2013	
Shs'000	Shs'000		Shs'000	Shs'000	Note
ASSETS					
9,106,501	7,044,946	Cash and balances with Central Banks	10,539,496	8,743,544	17
484,521	215,693	Items in the course of collection	519,958	243,514	18
7,843,903	4,189,408	Due from banking institutions	8,753,909	5,920,199	19
16,454,111	15,946,330	Government securities	19,223,686	18,093,150	20
118,781	41,232	Derivative assets	118,781	48,049	21
92,957,230	75,038,910	Loans and advances to customers	100,575,330	81,418,136	22
1,060,332	1,190,474	Other assets	1,286,699	1,531,206	23
56,570	-	Current income tax	185,185	188,847	15(c)
2,098,420	2,044,162	Due from group companies	-	-	24
5,398,306	5,440,670	Investments	1,615,965	2,325,637	25
843,775	825,910	Property and equipment	1,595,110	1,119,264	27
548,776	629,560	Intangible assets	1,045,559	1,095,155	28
7,125	7,250	Operating lease prepayments	7,125	7,250	29
109,113	302,269	Deferred income tax	313,702	328,788	26
137,087,464	112,916,814	Total assets	145,780,505	121,062,739	
LIABILITIES					
92,791,078	84,236,189	Customer deposits	100,434,954	91,565,005	30
4,625,406	4,910,171	Due to banking institutions	5,411,664	5,896,334	31
13,844,209	3,628,169	Borrowings	14,358,480	3,628,169	32
809,452	537,980	Due to group companies	-	-	33
-	296,595	Current income tax	12,613	306,709	15(c)
1,676,419	1,604,548	Other liabilities	2,129,198	2,025,383	34
82,883	72,233	Unclaimed dividends	82,883	72,233	35
113,829,447	95,285,885	Total liabilities	122,429,792	103,493,833	
EQUITY					
Capital and reserves attributable to equity holders of the Bank					
3,199,728	2,714,921	Share capital	3,199,728	2,714,921	36(a)
2,731,255	1,208,068	Share premium	2,731,255	1,208,068	36(a)
184,764	189,545	Revaluation surplus on property	184,764	189,545	36(b)
(202,657)	(209,823)	Investments revaluation reserve	(285,283)	(206,194)	36(c)
-	-	Foreign currency translation reserve	(494,149)	(536,418)	36(d)
919,004	729,104	Regulatory reserve(s)	1,041,058	975,617	36(e)
-	-	Other reserves	(157,172)	(154,126)	36(f)
15,785,977	12,591,876	Retained earnings	16,012,992	12,592,743	36(g)
639,946	407,238	Proposed dividend	639,946	407,238	
23,258,017	17,630,929	Total capital and reserves attributable to equity holders of the Bank	22,873,139	17,191,394	
-	-	Non-controlling interests	477,574	377,512	37
23,258,017	17,630,929	Total equity	23,350,713	17,568,906	
137,087,464	112,916,814	Total liabilities and equity	145,780,505	121,062,739	

The financial statements on pages 8 to 102 were approved and authorised for issue by the Board of Directors on 4th March 2015 and were signed on its behalf by:


J P M NDEGWA
 (Chairman)


F N MWANZIA
 (Director)


J GACHORA
 (Group Managing Director)


L MURAGE
 (Group Company Secretary)

NIC Bank Limited
Annual Report and Financial Statements for the year ended 31 December 2014

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2014

						Non-distributable			Distributable			
Note	Share capital	Share premium	Revaluation surplus on property	Investments revaluation reserve	Foreign currency translation reserve	Regulatory reserves	Other reserves	Retained earnings	Proposed dividend	Capital and reserves attributable to equity holders of the Bank	Non-controlling interests	Total Equity
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2013	2,714,921	1,208,799	155,083	(30,787)	(414,094)	687,543	-	10,095,639	542,984	14,960,088	521,534	15,481,622
Profit for the year	-	-	-	-	-	-	-	3,323,381	-	3,323,381	(86,080)	3,237,301
Other comprehensive income, net of tax	-	-	39,243	(175,407)	(122,324)	-	-	-	-	(258,488)	-	(258,488)
Total comprehensive income for the year	-	-	39,243	(175,407)	(122,324)	-	-	3,323,381	-	3,064,893	(86,080)	2,978,813
Transfer of excess depreciation	36 (b)	-	-	(6,830)	-	-	-	6,830	-	-	-	-
Deferred tax on transfer of excess depreciation	36 (b)	-	-	2,049	-	-	-	(2,049)	-	-	-	-
Transfer to regulatory reserves		-	-	-	-	288,074	-	(288,074)	-	-	-	-
Transactions with owners, recorded directly through equity												
Rights Issue of shares to non-controlling interests in NIC Bank Tanzania	37(a)	-	-	-	-	-	-	-	-	-	155,157	155,157
Acquisition of interest from non-controlling interests in:												
- NIC Bank Tanzania Limited	37(a)	-	-	-	-	-	(170,952)	-	-	(170,952)	(178,404)	(349,356)
- NIC Securities Limited	37(b)	-	-	-	-	-	16,826	-	-	16,826	(34,695)	(17,869)
Rights issue expenses paid	36(a)	-	(731)	-	-	-	-	-	-	(731)	-	(731)
Dividends paid:												
- Final for 2012		-	-	-	-	-	-	-	(542,984)	(542,984)	-	(542,984)
- Interim for 2013	35	-	-	-	-	-	-	(135,746)	-	(135,746)	-	(135,746)
Proposed dividend		-	-	-	-	-	-	(407,238)	407,238	-	-	-
At 31 December 2013	2,714,921	1,208,068	189,545	(206,194)	(536,418)	975,617	(154,126)	12,592,743	407,238	17,191,394	377,512	17,568,906

The notes on pages 15 to 102 are an integral part of these financial statements.

NIC Bank Limited
Annual Report and Financial Statements for the year ended 31 December 2014

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2014

DECEMBER 2014												
Non-distributable						Distributable						
	Share capital	Share premium	Revaluation surplus on property	Investments revaluation reserve	Foreign currency translation reserve	Regulatory reserves	Other reserves	Retained earnings	Proposed dividend	Capital and reserves attributable to equity holders of the Bank	Non-controlling interests	Total Equity
Note	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
	2,714,921	1,208,068	189,545	(206,194)	(536,418)	975,617	(154,126)	12,592,743	407,238	17,191,394	377,512	17,568,906
	-	-	-	-	-	-	-	4,120,855	-	4,120,855	(4,182)	4,116,673
	-	-	-	(79,089)	42,269	-	-	-	-	(36,820)	-	(36,820)
	-	-	-	(79,089)	42,269	-	-	4,120,855	-	4,084,035	(4,182)	4,079,853
36 (b)	-	-	(6,830)	-	-	-	-	6,830	-	-	-	-
36 (b)	-	-	2,049	-	-	-	-	(2,049)	-	-	-	-
	-	-	-	-	-	65,441	-	(65,441)	-	-	-	-
	213,315	1,887,839	-	-	-	-	-	-	-	2,101,154	-	2,101,154
	271,492	(271,492)	-	-	-	-	-	-	-	-	-	-
	-	(93,160)	-	-	-	-	-	-	-	(93,160)	-	(93,160)
	-	-	-	-	-	-	-	-	-	-	117,889	117,889
	-	-	-	-	-	-	(2,669)	-	-	(2,669)	(13,339)	(16,008)
	-	-	-	-	-	-	(377)	-	-	(377)	(306)	(683)
	-	-	-	-	-	-	-	-	(407,238)	(407,238)	-	(407,238)
	-	-	-	-	-	-	-	(639,946)	639,946	-	-	-
	3,199,728	2,731,255	184,764	(285,283)	(494,149)	1,041,058	(157,172)	16,012,992	639,946	22,873,139	477,574	23,350,713

The notes on pages 15 to 102 are an integral part of these financial statements.

BANK STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2014

			Non-distributable		Distributable				
Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Regulatory reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Equity Shs'000	
	2,714,921	1,208,799	155,083	(30,787)	637,174	9,836,433	542,984	15,064,607	
	-	-	-	-	-	3,385,576	-	3,385,576	
	-	-	39,243	(179,036)	-	-	-	(139,793)	
	-	-	39,243	(179,036)	-	3,385,576	-	3,245,783	
36 (b)	-	-	(6,830)	-	-	6,830	-	-	
36 (b)	-	-	2,049	-	-	(2,049)	-	-	
	-	-	-	-	91,930	(91,930)	-	-	
36(a)	-	(731)	-	-	-	-	-	(731)	
	-	-	-	-	-	-	(542,984)	(542,984)	
35	-	-	-	-	-	(135,746)	-	(135,746)	
	-	-	-	-	-	(407,238)	407,238	-	
	2,714,921	1,208,068	189,545	(209,823)	729,104	12,591,876	407,238	17,630,929	
	2,714,921	1,208,068	189,545	(209,823)	729,104	12,591,876	407,238	17,630,929	
	-	-	-	7,166	-	4,019,167	-	4,019,167	
	-	-	-	7,166	-	4,019,167	-	4,026,333	
36 (b)	-	-	(6,830)	-	-	6,830	-	-	
36 (b)	-	-	2,049	-	-	(2,049)	-	-	
	-	-	-	-	189,900	(189,900)	-	-	
	271,492	(271,492)	-	-	-	-	-	-	
	213,315	1,887,839	-	-	-	-	-	2,101,154	
	-	(93,160)	-	-	-	-	-	(93,160)	
	-	-	-	-	-	-	(407,238)	(407,238)	
	-	-	-	-	-	(639,946)	639,946	-	
	3,199,728	2,731,255	184,764	(202,657)	919,004	15,785,977	639,946	23,258,017	

The notes on pages 15 to 102 are an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2014

Bank					Group	
2014	2013				2014	2013
Shs'000	Shs'000			Note	Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES						
4,815,676	(1,072,049)	Cash generated from / (used in) operations		39 (a)	3,364,099	(1,164,223)
(2,213,588)	(1,940,225)	Income tax paid		15 (c)	(2,284,718)	(2,052,900)
2,602,088	(3,012,274)	Net cash (used in)/ from operating activities			1,079,381	(3,217,123)
CASH FLOWS FROM INVESTING ACTIVITIES						
		Investment in NIC Bank Tanzania:				
(16,008)	(349,357)	- acquisition of interest from non-controlling interest		37 (a)	(16,008)	(349,357)
-	(730,813)	- rights issues of shares			-	-
-	-	Investment in NIC Securities			(683)	(17,870)
(550,000)	-	Acquisition of NIC Properties		25 (b)	(550,000)	-
(233,254)	(197,243)	Purchase of property and equipment		27	(293,402)	(303,434)
(95,658)	(148,415)	Purchase of intangible assets		28 (a)	(105,329)	(156,697)
1,245	12,107	Proceeds from sale of motor vehicle and equipment		39 (c)	1,245	12,145
(893,675)	(1,413,721)	Net cash used in investing activities			(964,177)	(815,213)
CASH FLOWS FROM FINANCING ACTIVITIES						
(396,588)	(660,451)	Dividends paid		35	(396,588)	(660,451)
-	-	Rights issue of shares to non-controlling interests in NIC Bank Tanzania		37 (a)	117,889	155,157
2,101,154	-	Rights issue of shares			2,101,154	-
(93,160)	(731)	Bonus and rights issue expenses paid		36 (a)	(93,160)	(731)
1,611,406	(661,182)	Net cash (used in)/ from financing activities			1,729,295	(506,025)
3,319,819	(5,087,177)	NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS			1,844,499	(4,538,361)
4,909,299	9,996,476	CASH AND CASH EQUIVALENTS AT 1 JANUARY			7,561,599	12,110,149
-	-	Effect of foreign exchange rate changes			122,333	(10,189)
8,229,118	4,909,299	CASH AND CASH EQUIVALENTS AT 31 DECEMBER		39 (b)	9,528,431	7,561,599

The notes on pages 15 to 102 are an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1) Reporting Entity

NIC Bank Limited (the "Bank/Parent") and its subsidiaries (together, the "Group") provide retail, corporate banking, brokerage, bancassurance, property and investment banking services. NIC Bank Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Bank's shares are listed on the Nairobi Securities Exchange (NSE). NIC Bank Limited and its subsidiaries operate in Kenya, Tanzania and Uganda through its subsidiaries NIC Bank Tanzania Limited and NC Bank Uganda Limited.

The address of its registered office is as follows:
LR Plot No.8182
NIC House, Masaba Road
P O Box 44599-00100
Nairobi

For the Kenya Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit and loss account by the statement of profit or loss in these financial statements.

2) Standards and interpretations affecting the reported result or financial position

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS.

i) Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Bank uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Bank using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (ie as prices) or indirectly (ie derived from prices).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2) Standards and interpretations affecting the reported result or financial position (Continued)

a) Basis of preparation (Continued)

i) Basis of measurement (Continued)

- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Bank at the end of the reporting period during which the change occurred.

ii) Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group's and Bank's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 5.

iii) Changes in accounting policy and disclosures

Adoption of new and revised standards

All new and revised standards and interpretations that have become effective for the first time in the financial year beginning 1 January 2014 are not material to the Bank and Group. These include:

Amendments to IAS 32, 'Financial instruments: Presentation' on offsetting financial assets and financial liabilities. This amendment clarifies that the right of set-off must not be contingent on a future event. It must also be legally enforceable for all counterparties in the normal course of business, as well as in the event of default, insolvency or bankruptcy. The amendment also considers settlement mechanisms. The amendment did not have a significant effect on the Group financial statements.

Amendments to IAS 39, 'Financial instruments: Recognition and measurement' on the novation of derivatives and the continuation of hedge accounting. This amendment considers legislative changes to 'over-the-counter' derivatives and the establishment of central counterparties. Under IAS 39 novation of derivatives to central counterparties would result in discontinuance of hedge accounting. The amendment provides relief from discontinuing of hedge accounting when novation of a hedging instrument meets specified criteria. The Group has applied the amendment and there has been no significant impact on the Group financial statements.

New and revised standards and interpretations which have been issued but are not yet effective

The Group has not applied the following revised standards and interpretations that have been published but are not yet effective for the year beginning after 1 January 2014.

IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued on July 2014. It replaces the guidance in IAS 30 that relates to the classification and measurement of financial instruments.

IFRS 9 retains but simplifies the mixed measurements model and establishes three primary measurement categories for financial assets: amortised cost, fair value through OCI and fair value through profit or loss. The basis of classification depends on the entity's model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to changes in fair value in OCI not recycling. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39.

NOTES TO THE FINANCIALS STATEMENTS (Continued)

2) Standards and interpretations affecting the reported result or financial position (Continued)

a) Basis of preparation (Continued)

iii) Changes in accounting policy and disclosures (Continued)

New and revised standards and interpretations which have been issued but are not yet effective (Continued)

For financial liabilities there were no changes to the classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes.

Contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Group is yet to assess the full impact of IFRS 9.

IFRS 15, 'Revenue from contracts with customers', deals with revenue recognition and establishes principles for reporting useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The new standard is effective for annual periods beginning on or after 1 January 2017, and replaces IAS 11 and IAS 18.

The Directors are assessing the impact of the standards and will subsequently choose the adoption date.

3) Summary of significant accounting policies

a) Consolidation

i) Subsidiaries

The consolidated financial statements comprise the financial statements of NIC Bank Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated.

Subsidiaries are all entities over which the Group has control. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

A listing of the Bank's subsidiaries is set out in Note 25 (b).

The acquisition method of accounting is used when subsidiaries are acquired by the group. The cost of an acquisition in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the consideration transferred by the Group, liabilities assumed by the Group from the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the acquired identifiable assets and the liabilities assumed are generally measured and recognized at their fair value.

NOTES TO THE FINANCIALS STATEMENTS (CONTINUED)

3) Summary of significant accounting policies (Continued)

a) Consolidation (Continued)

i) Subsidiaries (Continued)

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the Group's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

In the event that the amounts of net assets acquired is in excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of Group's previously held equity interest, the difference is recognised immediately in profit or loss as a bargain purchase.

In a business combination achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in profit or loss.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

Additional information required by the regulatory bodies is included where appropriate.

ii) Changes in ownership interest in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

b) Foreign currencies

i) Functional and presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements are presented in Kenya Shillings, which is the Bank's functional and presentation currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

ii) Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

b) Foreign currencies (Continued)

iii) Group companies

The results and financial position of Group entities that have a functional currency different from the presentation currency are re-translated into the presentation currency as follows:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are expressed in Kenyan shillings using exchange rates prevailing at the reporting date. Income and expense items of foreign operations are retranslated at average exchange rates for the period.

Foreign currency exchange differences are reported as "exchange differences on translations of foreign operations" and are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity.

c) Income recognition

i) Interest income and expense

Interest income and expense for all interest bearing financial instruments are recognised in profit or loss on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial instrument.

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

ii) Fee and commission income and expenses

In the normal course of business, the Group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial instrument are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, placement fees, brokerage fees, bancassurance fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are incurred as the services are received.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

c) Income recognition (Continued)

iii) Net trading income

Net trading income arises from the margins which are achieved through market-making and customer business and from changes in market value caused by movements in interest and exchange rates, equity prices and other market variables. It comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, dividends and foreign exchange differences.

d) Financial instruments

I. Recognition

Regular purchases and sales of financial assets are recognised on the trade-date – the date on which the Group commits to purchase or sell the asset. Loans and receivables are initially recognised at fair value plus transaction costs and subsequently carried at amortised cost using the effective interest method.

II. Classification

1. Financial assets

The Group classifies its financial assets into the following categories:

- At fair value through profit or loss
- Loans and receivables
- Held-to-maturity investments
- Available for sale investments

Management determines the appropriate classification of its investments at initial recognition

(a) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets classified as held for trading and those designated at fair value through profit or loss at inception.

A financial asset is classified as held for trading if acquired principally for the purpose of selling in the short term. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. Financial instruments included in this category are recognised initially at fair value, transactions costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss.

The group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting measurement mismatch or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to key management personnel on a fair value basis.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

II. Classification (Continued)

1. Financial assets (Continued)

(a) Financial assets at fair value through profit or loss (Continued)

For the Group, these comprise derivative assets (Note 21), certain government securities as set out in Note 20, quoted shares and unquoted equity investments (Note 25). Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains on financial instruments designated at fair value through profit or loss' under 'net trading income' (Note 10).

(b) Loans and receivables

Loans and advances to customers and trade receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market and which the Group does not intend to sell immediately or in the near term. Loans and advances to customers are recognised when cash is advanced to borrowers.

(c) Held-to-maturity investments

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

(d) Available-for-sale investments

Available-for-sale financial assets are assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Available for sale financial assets are initially recognised at fair value and measured subsequently at fair value with gains and losses being recognised in other comprehensive income and accumulated in the investments revaluation reserve with the exception of;

- impairment losses
- interest calculated using the effective interest rate method
- foreign exchange gains and losses on monetary assets which are recognised in profit or loss.

2. Financial liabilities

Financial liabilities are recognised when the Group enters into the contractual provisions of the arrangements with counterparties, which is generally on trade date, and initially measured at fair value, which is normally the consideration received, net of directly attributable transaction costs incurred. Subsequent measurement of financial liabilities is at amortised cost using effective interest rate method. Financial liabilities include deposits from banks or customers, trade payables in the brokerage and borrowings for which the fair value option is not applied.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

II. Classification (Continued)

Classes of financial instruments

The Group classifies the financial instruments into classes that reflect the nature of information and take into account the characteristics of those financial instruments. The classification made can be seen in the table as follows:

Category (as defined by IAS 39)		Class (as determined by the Group)		Subclasses		
Financial assets and liabilities	Financial assets at fair value through profit or loss	Financial assets held for trading	Debt securities (Government securities)			
		Financial assets designated at fair value through profit or loss	Derivative assets			
			Quoted shares			
			Unquoted equity investments			
	Loans and receivables	Cash and balances with Central Banks (excluding mandatory reserves)				
		Items in the course of collection				
		Due from banking institutions				
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts		
				Credit cards		
				Term loans		
				Mortgages		
		Loans to corporate entities	Large corporate customers			
	SMEs					
	Others					
	Other assets					
	Due from group companies					
	Held-to-maturity Investments	Investment securities - debt securities	Government securities			
	Available-for-sale financial assets	Investment securities - debt securities	Government securities			
Financial liabilities at armortised cost	Due to banking institutions					
	Due to group companies					
	Other liabilities					
	Deposits from customers	Deposits from individuals (retail)	Retail customers			
		Deposits from corporate entities	Large corporate customers			
SMEs						
Off-balance sheet financial Instruments	Loan commitments					
	Guarantees, acceptances and other financial facilities					

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

III. Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or substantially all the risks and rewards of ownership incidental to the financial asset are transferred. A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished.

IV. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit or loss' are subsequently carried at fair value. Gains and losses arising from changes in the fair value in those assets are recognised in profit or loss.

Gains and losses arising from changes in the fair value of 'available-for-sale financial assets' are recognised in other comprehensive income in the period in which they arise and accumulated in the investment revaluation reserves.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in the investment revaluation reserves are reclassified to profit or loss.

Dividends on available-for-sale equity instruments are recognised in profit or loss as part of other income when the Group's right to receive payments is established.

The fair values of quoted investments are based on the most representative price within the bid-ask spread. If the market for a financial asset is not active (and for unquoted securities), the Group establishes fair value by using valuation techniques that include the use of various valuation methodology. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them.

Loans and receivables and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

IV. Impairment of financial assets

1. Amounts carried at amortised cost

The Group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Loans and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of loans and receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in profit or loss as 'Credit impairment charges'. When a loan or receivable is uncollectible, it is written off against the related allowance account. Subsequent recoveries of amounts previously written off are credited through profit or loss.

Objective evidence that loans and receivables are impaired includes significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue), the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the Group are considered indicators that the loans or receivable is impaired.

In assessing impairment losses, the Group considers the following factors, in each category:

a) Individually assessed loans

- The aggregate exposure to the Group.
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligations.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors commitment ranking pari passu with the Group and the likelihood of other creditors continuing to support the customer.

b) Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

V. Impairment of financial assets (continued)

1. Amounts carried at amortised cost

b) Collectively assessed (Continued)

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the Group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision for impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.

2. Amounts classified as available for sale

In the case of equity securities classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from other comprehensive income and recognised in profit or loss. Impairment losses recognised in profit or loss on equity instruments are not reversed through profit or loss.

VI. Impairment of non-financial assets

At the end of each reporting period, the Group reviews the carrying amount of its tangible and intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence on impairment losses exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in profit or loss. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the Group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the Group is cognisant of the estimated future cash flows discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

VI. Impairment of non-financial assets (continued)

Intangible assets with indefinite useful life are tested for impairment annually, and when there is indication that the asset may be impaired.

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.

Impairment loss on goodwill is not reversed.

e) Offsetting

Financial instruments are offset and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

f) Employee expenses

I. Retirement benefit obligations

The Group operates a defined contribution plan under which the Group pays fixed contributions into a separate entity. The Group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and the employees.

In addition, the Group also contributes to the National Social Security Fund in Kenya, Parastatal Pension Fund in Tanzania and National Social Security Fund in Uganda, which are defined contribution scheme registered under respective Acts of Parliament in the respective countries.

The Group's contributions to the defined contribution schemes are charged to the profit or loss in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

II. Short-term benefits

Short-term employee benefit obligations (e.g medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the employee renders service.

The monetary benefits for employee accrued leave entitlement at the reporting date are recognised as an expense accrual.

g) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease. When a lease includes land and buildings elements, the bank assesses the classification of each element as either a finance lease or an operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgment. See note 5 to these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

h) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year using currently enacted tax rates, and any adjustment to tax payable in respect of previous years.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax is provided using the liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

i) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive ordinary shares.

j) Dividends on ordinary shares

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

k) Leases

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and receivables. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding principal. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Rentals payable under operating leases are charged to profit or loss over the terms of the relevant lease.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

l) Repurchase agreements

When the Group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or receivable, and the underlying asset is not recognised in the Group's financial statements.

m) Property and equipment

I. Recognition and measurement

Items of fixtures and equipment are stated at historical cost less accumulated depreciation. Buildings comprising mainly of the head office are stated in the statement of financial position at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation. Valuations are performed with sufficient regularity to ensure that the fair value of a revalued asset does not differ materially from its carrying amount. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

The gain or loss arising on the disposal or retirement of an item of property or equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss for the year.

II. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are charged to profit or loss for the year as incurred.

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the reporting date. Any increase arising on the revaluation is recognised in other comprehensive income and accumulated in the revaluation surplus on property. Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus on property; all other decreases are charged to the profit or loss for the year.

III. Depreciation

Depreciation which is recognised in profit or loss is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Building	2.5%
Furniture, fittings and equipment	20.0%
Motor vehicles	20.0%
Computers	33.3%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus on property to retained earnings, net of deferred tax.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

n) Intangible assets

I. Goodwill

Goodwill arises on business combinations through acquisition of subsidiaries when the cost of acquisition exceeds the fair value of the Group's share of the identifiable assets, liabilities and contingent liabilities acquired. If the Group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired business is greater than the cost to acquire, the excess is recognised immediately in profit or loss.

Goodwill is allocated to cash-generating units for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least annually, and whenever there is an indication that the cash-generating unit may be impaired, by comparing the present value of the expected future cash flows from a business with the carrying value of its net assets, including attributable goodwill. Goodwill is stated at cost less accumulated impairment losses which are charged to profit or loss.

II. Computer software

Costs associated with maintaining computer software programs are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over their estimated useful lives, which is three to five years.

Acquired computer software licences are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on the basis of the expected useful lives. Software has a maximum expected useful life of 5 years.

III. License

Separately acquired licences in business combination are initially recognised at their fair value at the acquisition date. Licences with an indefinite useful life are not amortised and are reviewed at each reporting date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the Group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. The Group tests the asset for impairment annually and whenever there is an indication that the intangible asset may be impaired by comparing its recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

o) Legal and other claims

Provisions for legal claims are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

p) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition. These includes notes and coins on hand, unrestricted balances held with Central Banks, items in the course of collection from other banks, deposits held at call with banks, net of deposits and balances due to banking institutions and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

q) Share capital and share premium

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

r) Regulatory reserves

IAS 39 requires the Group to recognise an impairment loss when there is objective evidence that loans and receivables are impaired. However, prudential guidelines issued by banking regulators require the Group to set aside amounts for impairment losses on loans and receivables based on their guidelines. Extra losses over and above those already recognised under IAS 39 are accumulated under regulatory reserves through appropriations of retained earnings.

s) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds, which are credit-related instruments, are generally given by the Group to support performance by a customer to third parties. Nominal principal amounts represent amounts at risk should the Group be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

t) Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. Those assets that are held in a fiduciary capacity are not included in these financial statements.

u) Derivative financial instruments

Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives are intended to acquire, increase, reduce or alter exposure to market risks. The group uses derivatives for its customers and on its own account to manage exposure to market risks. Derivative assets and liabilities on different transactions are only set off if the transactions are with the same counterparty, a legal right of set-off exists and the cash flows are intended to be settled on a net basis.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

v) Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group management). The management then allocates resources to each operating segment of the Group and assesses their performance. The operating segments are based on the Group's management and internal reporting structure.

In accordance with IFRS 8, Operating Segments, the Group has the following business segments; corporate and institutional banking, treasury dealing and brokerage, retail banking, asset finance and investment banking and others (see note 6).

w) Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

4) Financial risk management objectives

Group risk management framework and governance structures

Risk management overview

In the financial services sector, sustainable growth in profitability involves selectively taking and managing risks. The Group's goal is to earn, on behalf of the stakeholders, an optimal, stable and sustainable rate of return for every shilling of risk we take, while continually investing in our business to meet our future growth objectives. The risk management resources and processes are designed to identify, understand, measure and report risks that the Group's businesses are exposed to, and develop governance, controls, and risk management frameworks necessary to mitigate these risks as appropriate. These resources and processes are strengthened by the Group's culture which emphasises transparency, accountability and responsibility for managing the risks we are exposed to.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and exploited.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from the expected outcomes. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the region. These financial risks are classified as follows:

- Credit & counterparty risk
- Liquidity & funding risk
- Market risk that fall within:
 - Interest rate risk
 - Foreign exchange risk
 - Price risk

a) Credit and counterparty risk

Credit and counterparty risk is the potential for loss due to the Group's customers' or counterparties' failure or unwillingness to meet their contractual credit obligations. It is the single largest financial risk that the Group faces. It arises principally from, but is not limited to, commercial and retail loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

The amounts presented in these financial statements are net of impairment allowances based on prudent assessment of the customers' or counterparties' abilities to meet their contractual obligations.

The Group's lending principles are laid out in an elaborate series of corporate strategies, policies, standards, guidelines, directives and procedures, all of which are developed, approved and reviewed regularly by the Board Credit Risk Committee and respective Risk Management Committees. This is to ensure policies are current and consistent with the Group's risk appetite. The structure, limits, collateral requirements, ongoing management, monitoring and reporting of credit exposures are all governed by these principles.

Who manages credit & counterparty risk

The Board of Directors and Senior Management pay special attention to credit risk exposure at all times. The Board retains the responsibility for under-writing and independent review of the credit risk exposures through specifically constituted Board sub-committees: the Board Credit Risk Committee and the Board Risk Management Committee respectively. To facilitate the day to day management of credit risk i.e. under-writing functions, monitoring and control, there is a specialised, independent and centralised credit review/approval team headed by the Head of Credit who reports to the Group Managing Director. The Board of Directors retains the authority to approve credit facilities that are significant in size or complexity.

Effective credit risk management begins with experienced and professional lending officers who have been formally mandated to authorise credit exposures for the Group. These individuals are subjected to a rigorous lender qualification process and operate within a disciplined environment with clear delegation of management discretionary limits at both the individual and joint levels depending on the size and complexities of the credit decisions they make.

To facilitate quick credit decisions, the Board Credit Risk Committee has granted formal discretionary limits to several Senior Managers (at individual and committee levels), in line with their skills, experience and ability to make sound credit decisions.

To separate the sales and credit under-writing functions from credit operations, a credit administration unit that reports directly to the Head of Technology and Operations, handles post-approval credit administration as well as the daily monitoring of credit exposures against approved limits. This together with the complete segregation of sales activities from the underwriting process, maintains an adequate governance structure that eliminates conflicts of interest that may occur in the course of business.

Credit risk management key performance indicators, including the quality of our credit portfolios, portfolio concentrations, amongst others, are independently reviewed by the Head of Risk Management & Compliance with oversight from the Board Risk Management Committee.

Regular independent audits of the approval process and adherence to credit risk management programs are carried out by the Internal Audit Department. Adverse findings are submitted to Senior Management and the Board Audit Committee for information and corrective actions implementation. Furthermore, audit programs are carried out using a risk based approach to concentrate activities where high probability and/or high impact risk events are envisaged.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

How credit and counterparty risk is managed

Credit and counterparty risk measurement & assessment

The estimation of credit exposures at the individual and portfolio levels is complex and requires the use of special models, as the value of products or portfolios varies with changes in market variables, expected cash-flows and the passage of time. The assessment of a portfolio of assets' credit exposures entails further estimation of the likelihood of defaults occurring, of associated losses, and of default correlations between borrowers or counterparties, the facilities granted, and their industries. This is achieved using a credit rating model developed internally for use in the business.

Credit & counterparty risk limit control and mitigation policies

The Board Credit Risk Committee regularly sets, reviews and approves exposure limits for the larger counterparties as well as tolerance limits on a portfolio basis. In turn, the Group manages the limits and controls concentrations of credit risk exposures against internal and regulatory requirements with respect to individual counterparties or related groups of counterparties, industry sectors, amongst others.

Exposures to any one borrower (including bank counterparties) are further restricted by sub-allocating limits covering separate on and off – balance sheet exposures, as well as daily delivery exposures in relation to trading items e.g. forward foreign exchange contracts.

Lending limits are reviewed regularly in line with the changing business/financial risks of the borrowers, in addition to industry and general economic conditions in which they operate. To enable prudent and consistent credit assessments at the individual level, the Group has robust approval processes and models covering different business segments. This process basically captures the borrower's financial viability, industry / economic performance, geopolitical risks and its managements' ability to steer the organisation. These models are suited to counterparties who are homogeneous in nature for ease of their use.

Limits for commercial and corporate clients are reviewed at least once annually. The credit review process ensures that an appropriate facility structure, including covenant monitoring, is in place for each client. The frequency of reviews is increased in accordance with the likelihood and size/complexity of potential credit losses, with deteriorating higher-risk situations referred to independent debt recovery units for closer attention and remediation where appropriate.

The risks in industry sectors are managed through limits and lending criteria / guidelines relevant to each particular industry. Borrower limits are set within the context of established guidelines for individual borrowers and particular industries to ensure the Group does not have excessive concentration in any related group of borrowers or industry. Through this portfolio management process, loans may be syndicated to reduce overall exposure to a single name and/ or industry.

Exposures against tolerance limits in relation to credit risk categories are measured and monitored periodically on an aggregated basis. Actual exposures against limits are monitored daily through the well-established credit management information systems that are in place.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Other specific control and mitigation measures are outlined below:

Although the Group only lends to counterparties that primarily demonstrate adequate capacity to repay loans, it also employs a range of policies, guidelines and models to mitigate credit risk as follows:

i) Collateral

This is only considered in those cases where the Group would want to take a credit risk mitigant. The Group has developed specific policies and guidelines for the acceptance of different classes of collateral whose estimated fair values are well understood.

Estimates of the collateral's fair values are based on the value of collateral independently and professionally assessed at the time of borrowing, and re-valued with a frequency commensurate with nature and type of the collateral and credit advanced. Collateral structures and covenants are subjected to regular review to ensure they continue to fulfil the intended purpose to the Group.

Collateral is generally not held in respect of deposits and balances due from banking institutions, items in the course of collection, and Government securities, except when securities are held for reverse purchase and securities borrowing activity.

ii) Credit rating

The Group uses an internal rating system for its borrowing clients. The system sets maximum exposure limits for individuals or groups of clients using the rating attained by the borrowers. The rating system will also inform the basis of determining the value and classes of collateral acceptable for the borrower(s).

iii) Settlement risk

This is the risk of loss due to the failure by counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. It arises in situations where a payment in cash is made in anticipation of corresponding receipt of cash securities or other assets. Daily settlement limits are approved by the relevant authority levels and established for each counterparty to cover the aggregate of all settlement risks arising from the counterparty's market transactions on a single day. Acceptance of the counterparty's settlement risk is determined on the basis of financial strengths and other non-financial considerations subject to Board Credit Risk Committee's approvals.

Impairment policies

Across all its loan portfolios, the Group employs a disciplined approach to impairment allowances evaluation, with prompt identification of problem loans being a key risk management objective. The Group maintains both collective and specific impairment allowances for credit losses, the sum of which is sufficient to reduce the book value of credit assets to their estimated realisable value. Specific impairment allowances reduce the aggregate carrying value of credit assets where there is specific evidence of deterioration in credit quality. In line with regulatory guidelines, a collective allowance is maintained to cover potential impairment in the existing portfolio that cannot be associated with specific credit. These allowances are reviewed and updated on a regular basis.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (continued)

Write-off policy

The Group writes off loans and advances net of any related allowances for impairment losses when it determines that the loans are uncollectable and securities unrealisable. This determination is reached after accessing objective evidence or occurrence of significant changes in the borrower or issuer's financial position such that they are no longer able to repay the obligation, or that proceeds from the sale of collateral will not be sufficient to pay back the entire exposures. This is done after exhausting all other means including litigation. For Retail and Asset Finance loans, charge off decisions are generally based on product specific days past due status and the size of balances owed per borrower.

I. Maximum exposure to credit risk before collateral held - Group

	2014		2013	
	Shs'000	%	Shs'000	%
Credit exposures				
On – balance sheet items				
Balances with Central Banks	9,066,532	7	7,273,400	7
Items in the course of collection	519,958	-	243,514	-
Due from banking institutions	8,753,909	6	5,920,199	4
Loans and advances to customers	100,575,330	64	81,418,136	63
Government securities	19,223,686	12	18,093,150	14
Other assets – trade receivables	154,122	-	196,622	-
Derivative assets	118,781	-	48,049	-
	138,412,318	89	113,193,070	88
Off-balance sheet items				
Letters of credit	3,490,696	2	5,177,622	4
Guarantees and performance bonds	13,793,897	9	10,557,519	8
	17,284,593	11	15,735,141	12
	155,696,911	100	128,928,211	100

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (continued)

I. Maximum exposure to credit risk before collateral held - Bank

	2014		2013	
	Shs'000	%	Shs'000	%
Credit exposures				
On – balance sheet items				
Balances with Central Banks	8,079,859	6	5,950,797	6
Items in the course of collection	484,521	-	215,693	-
Due from banking institutions	7,843,903	5	4,189,408	4
Loans and advances to customers	92,957,230	66	75,038,910	65
Government securities	16,454,111	11	15,946,330	13
Derivative assets	118,781	-	41,232	-
	125,938,405	88	101,382,370	88
Off-balance sheet items				
Letters of credit	3,374,438	2	4,763,734	4
Guarantees and performance bonds	13,633,024	10	10,168,363	8
	17,007,462	12	14,932,097	12
	142,945,867	100	116,314,467	100

The above represents the worst case scenario of credit exposure for both years, without taking into account collateral held or other credit enhancements/mitigants.

The Group Loans and advances to customers and other trade related items (off-balance sheet items) comprise of 75% (2013: 75%) of the total credit exposure.

Collateral

While collateral is an important mitigant to credit risk, the Group's underwriting policy ensures that loans are strictly granted on a going concern basis with upfront adequate demonstration of repayment capacity. Other than exposures amounting to Shs 3,634,944,000 (2013: Shs 2,354,572,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery, amongst others. The fair value of collateral held for impaired loans and advances is Shs 1,351,648,000 (2013: Shs 1,928,893,000).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

II. Classification of loans & advances to customers

Group				
At 31 December 2014	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Gross loans and advances				
Neither past due nor impaired	90,433,598	3,724,419	3,047,388	97,205,406
Past due but not impaired				
Past due 30 to 90 days	1,643,408	408,083	31,879	2,083,370
Individually impaired	3,244,092	644,815	143,101	4,032,008
Total gross loans advanced	95,321,098	4,777,317	3,222,368	103,320,784
Impairment allowances				
Neither past due nor impaired	-	-	-	-
Past due but not impaired				
Past due 30 to 90 days	(62,157)	-	(2,937)	(65,094)
Individually impaired	(2,301,711)	(372,450)	(6,162)	(2,680,360)
Impairment allowances	(2,363,868)	(372,450)	(9,099)	(2,745,454)
Net loans and advances	92,957,230	4,404,867	3,213,269	100,575,330
	%	%	%	%
Impairment allowance as a percentage of total loans advanced	2.47	7.79	0.28	2.65
At 31 December 2013				
Gross loans and advances				
Neither past due nor impaired	70,835,258	2,910,900	2,199,220	75,945,378
Past due but not impaired				
Past due 30 to 90 days	3,204,280	509,687	-	3,713,967
Individually impaired	3,138,721	1,382,205	-	4,520,926
Total gross loans advanced	77,178,259	4,802,792	2,199,220	84,180,271
Impairment allowances				
Neither past due nor impaired	-	-	-	-
Past due but not impaired				
Past due 30 to 90 days	(143,021)	(25,404)	(1,677)	(170,102)
Individually impaired	(1,996,328)	(595,705)	-	(2,592,033)
Impairment allowances	(2,139,349)	(621,109)	(1,677)	(2,762,135)
Net loans and advances	75,038,910	4,181,683	2,197,543	81,418,136
	%	%	%	%
Impairment allowance as a percentage of total loans advanced	2.70	12.93	0.08	3.20

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Credit quality of loans and advances

All loans and advances are categorised as neither past due nor impaired, past due but not impaired, or impaired. Impaired loans include restructured loans. For the purposes of these disclosures:

- A loan is considered past due when the borrower has failed to make a payment when due under the terms of the existing loan contract;
- The impairment allowance includes allowances both against financial assets that have been individually impaired and those subject to collective impairment;
- Loans neither past due nor impaired consist predominantly of corporate and retail loans that are performing. These loans, although unimpaired, may carry an unidentified impairment allowance; and
- Impaired loans that are collectively assessed for impairment consist predominantly of Retail loans that are 1 day or more past due for which a collective impairment allowance is raised.

Loans and advances that are neither past due nor impaired

The Group classifies loans and advances under this category if they are up to date and in line with their contractual agreements (within 0-30 days). Such loans would have demonstrated the meeting of their financial and non-financial conditions plus obligations and the borrowers would have proven forward looking capacity to repay the loans. These exposures will normally be maintained largely within approved facility programs and with no depiction of impairment or distress signs. These exposures are categorised as normal accounts (category 1) in line with internal guidelines and those issued by regulators where applicable. A collective provision on the total outstanding balances is made and appropriated from revenue reserves to statutory credit risk reserves.

Past due but not impaired

This category includes exposures that are between 31 – 90 days past due, where losses may have been incurred but have not been clearly identified. These exposures are graded as category 2 in line with our internal guidelines and those issued by banking regulators. A collective impairment allowance is made as described above to cover losses which have been incurred but have not yet been identified.

Individually Impaired loans and advances

Impaired loans and advances are those which the Group determines that it is highly probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan securities agreement(s). These loans are graded between categories 3 (91-180 days), 4(181 -360 days) and 5 (over 360 days) using the Group's internal credit rating system. These clients, under guidelines issued by the Central Banks in the regions we operate in, are termed as non-performing loans. The Group establishes a specific allowance for impairment losses for each loan that represents the estimate of losses that will be incurred in its loan portfolio.

Concentrations of risk

The Group monitors concentration of risk exposures in its lending and other asset portfolios by individuals or groups of related borrowers and industry sector concentrations in line with Board of Directors' approved limits. These limits are reviewed regularly using economic risk indicators identified in particular industrial sectors. An analysis of concentrations within the loans and advances to customers and off balance sheet items are as follows:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Loans and advances to customers

Bank			Group	
2014	2013		2014	2013
%	%		%	%
25	24	Manufacturing	26	25
24	18	Social community and personal services	24	18
17	12	Transport and communication	16	11
10	10	Wholesale and retail	10	10
6	7	Agriculture	6	7
2	4	Electricity	2	4
2	5	Financial	2	5
14	20	Other	14	20
100	100		100	100

Contingent liabilities

Bank			Group	
2014	2013		2014	2013
%	%		%	%
9	27	Agriculture	9	27
11	5	Business services	11	5
10	6	Wholesale and retail	10	6
5	4	Real estate and construction	5	4
20	10	Transport and communication	20	10
33	19	Manufacturing	33	19
12	29	Other	12	29
100	100		100	100

b) Liquidity and funding risk

Liquidity risk is the potential for loss to an institution arising from either its inability to meet its obligations when they fall due or to fund increases in asset without incurring unacceptable costs or losses. Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, and to enable our core business to continue operating even under adverse liquidity circumstances.

Who manages liquidity and funding risk

The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its current and future financial obligations or financial liabilities as they fall due.

ALCO relies substantially on the Group's Treasury Department to coordinate and ensure discipline across the Group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses and/or risking damage to the Group's reputation.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

The Board Executive Committee has oversight over ALCOs activities through regular review of its minutes and significant reports outlining the Group's current exposures against approved risk limits. These reports are also reviewed by the Board Risk Management Committee on a regular quarterly basis.

Liquidity policies / guidelines and limits are reviewed periodically, or as the need arises.

How liquidity and funding risk is managed

I Liquidity and funding management

The Group's liquidity and funding policies require that it:

- Enters into lending contracts subject to availability of funds.
- Projects cash flows by major currencies and consider the level of liquid assets necessary in relation thereto.
- Monitors liquidity ratios against internal and regulatory requirements and guidelines.
- Maintains an array of a diverse range of funding sources as contingency back-up facilities.
- Monitors depositor concentration to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix is attained.
- Invests in short term liquid instruments, which can easily be sold in the market when the need arises.
- Ensure investments in large cash outlay projects e.g property and equipment purchases are budgeted for and carried out only when the Group has sufficiently liquid cash flows.
- Maintains liquidity and funding contingency plans. These plans and key risk indicators clearly identify early stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crisis while minimising adverse long-term implications.

II Sources of funding

The Group's major source of funding is customer deposits. To this end, the Group maintains a diversified and stable funding base comprising of the core retail and corporate customers and wholesale banking clientele. The Group places considerable importance on the stability of these deposits, which is achieved through the Group's corporate, institutional and retail banking activities and by maintaining depositor confidence in the Group's business strategies and financial strength. An analysis of concentrations within the customer deposits is as follows:

Customer deposits

Bank			Group	
2014	2013		2014	2013
%	%		%	%
-	-	Co-operative societies	-	-
5	4	Insurance companies	5	4
15	15	Non-profit institutions and individuals	16	16
80	81	Private enterprises	79	80
100	100		100	100

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

II Sources of funding (Continued)

The Group also borrows from the inter-bank and wholesale markets such as pension funds and insurance companies to meet its short term liquidity and other investment objectives.

The Group does not maintain cash reserves to meet all its obligations as experience over time has shown that a minimum level of reinvestment of maturing customer funds can be predicted with a high level of certainty. Although the contractual repayments of many customer accounts are on demand or short notice, in practice from a behavioral perspective, short-term deposit balances remain stable as inflows and outflows broadly match.

III Exposure to liquidity risk

The key measures used by the Group for managing liquidity risk are;

- The ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets include cash and cash equivalents and investments in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The banking regulators also require that the Group maintains a cash reserve ratio computed as percentage of eligible customer deposits.

The banking regulations require that the Group maintains a minimum liquidity ratio of 20%. The Group complied with the liquidity requirements during the year.

The average liquidity ratio for the year was 29% (2013: 32%).

- The maturity analysis of assets and liabilities report is presented in the next pages. The Group uses the maturity mismatch ladders to compare cash inflows and outflows each month and over a series of time-bands. The maturity mismatch ladder shows the net cash flows of the Group in various time bands. The Group net funding requirements are determined by analysing present and future cash flows of the entire statement of financial position at selected maturity dates, based on assumptions of the behaviour of assets, liabilities and off-balance sheet items. Calculations will include the cumulative net excess or shortfall over the time frame of the liquidity assessment.

The Group also monitors its liquidity exposures through an array of internally developed risk indicators such as several types of advances to deposit ratios, proportion of largest depositors to total deposits, liquidity gap analysis ratios, inter-bank borrowings as a proportion of total deposits, amongst others. At the end of 2014, the Group began to use the Basel Accord preferred Liquidity Coverage ratio and Net Stable Funding ratio to assess its short and long term liquidity stability. This enables the group to arrest any early warning signs and take timely corrective action.

As part of the ALCO function, Treasury receives information from business units regarding the liquidity profile of their financial assets and liabilities plus details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment grade securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

The amounts disclosed in the tables on pages 45 to 48 are the contractual undiscounted cash flows, whereas the Group manages the liquidity risk based on a different basis, not resulting in a significantly different analysis.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2014 (Group)

	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	50,359,343	38,043,195	12,183,415	-	-	100,585,953
Due to banking institutions	5,486,727	-	-	-	-	5,486,727
Borrowings	-	-	838,847	1,715,510	15,400,628	17,954,985
Total financial liabilities	55,846,070	38,043,195	13,022,262	1,715,510	15,400,628	124,027,665
FINANCIAL ASSETS						
Cash and balances with Central Banks	6,968,829	1,905,117	493,844	-	62,276	9,430,066
Items in the course of collection	-	-	-	-	-	-
Due from banking institutions	8,475,687	10,917	-	-	-	8,486,604
Government securities	29,802	19,785	4,523,685	6,048,877	12,122,515	22,744,664
Derivative assets	-	-	-	-	-	-
Loans and advances to customers	11,416,043	10,522,196	22,508,667	20,874,843	41,133,398	106,455,147
	26,890,361	12,458,015	27,526,196	26,923,720	53,318,189	147,116,481
Net liquidity gap	28,955,709	25,585,180	(14,503,934)	(25,208,210)	(37,917,561)	(23,088,816)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2013 (Group)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	55,256,809	34,847,903	3,228,705	171,777	-	93,505,194
Due to banking institutions	5,076,615	845,911	-	-	-	5,922,526
Borrowings	12,663	-	16,723	1,379,453	2,598,967	4,007,806
Total financial liabilities	60,346,087	35,693,814	3,245,428	1,551,230	2,598,967	103,435,526
FINANCIAL ASSETS						
Cash and balances with Central Banks	6,346,354	1,677,633	333,531	620,635	-	8,978,153
Items in the course of collection	243,514	-	-	-	-	243,514
Due from banking institutions	5,924,633	-	-	-	-	5,924,633
Government securities	1,132,567	2,961,260	2,282,469	6,429,089	5,365,265	18,170,650
Derivative assets	48,049	-	-	-	-	48,049
Loans and advances to customers	11,181,886	7,893,269	24,180,531	27,214,545	32,466,345	102,936,576
Investments	254,732	-	-	-	-	254,732
	25,131,735	12,532,162	26,796,531	34,264,269	37,831,610	136,556,307
Net liquidity gap	35,214,352	23,161,652	(23,551,103)	(32,713,039)	(35,232,643)	(33,120,781)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2014 (Bank)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	47,837,401	38,195,510	10,540,141	-	-	96,573,051
Due to banking institutions	4,625,406	-	-	-	-	4,625,406
Borrowings	-	-	816,375	1,836,957	12,593,306	15,246,638
	52,462,807	38,195,510	11,356,516	1,836,957	12,593,306	116,445,095
FINANCIAL ASSETS						
Cash and balances with Central Banks	6,568,897	1,905,117	493,844	-	62,276	9,030,134
Items in the course of collection	-	-	-	-	-	-
Due from banking institutions	7,852,531	-	-	-	-	7,852,531
Government securities	-	19,785	4,326,665	6,230,560	12,122,515	22,699,525
Derivative assets	-	-	-	-	-	-
Loans and advances to customers	15,189,030	10,522,196	22,508,667	27,811,194	41,134,838	117,165,925
	29,610,458	12,447,098	27,329,176	34,041,754	53,319,629	156,748,115
Net liquidity gap	22,852,349	25,748,412	(15,972,660)	(32,204,797)	(40,726,323)	(40,303,020)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2013 (Bank)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	52,220,766	33,150,690	1,733,694	112,647	-	87,217,797
Due to banking institutions	4,192,536	743,822	-	-	-	4,936,358
Borrowings	12,663	-	16,723	1,379,453	2,598,967	4,007,806
Total financial liabilities	56,425,965	33,894,512	1,750,417	1,492,100	2,598,967	96,161,961
FINANCIAL ASSETS						
Cash and balances with Central Banks	5,264,645	1,443,024	333,531	3,746	-	7,044,946
Items in the course of collection	215,693	-	-	-	-	215,693
Due from banking institutions	4,193,842	-	-	-	-	4,193,842
Government securities	34,484	2,862,552	1,475,191	6,286,336	5,365,265	16,023,828
Derivative assets	41,232	-	-	-	-	41,232
Loans and advances to customers	8,165,102	7,517,687	22,877,742	25,530,475	32,466,345	96,557,351
Total financial assets	17,914,998	11,823,263	24,686,464	31,820,557	37,831,610	124,076,892
Net liquidity gap	38,510,967	22,071,249	(22,936,047)	(30,328,457)	(35,232,643)	(27,914,931)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk

Market risk is the risk that the values of assets and liabilities or revenues will be adversely affected by changes in market conditions or market movements. Market risks in the Group arise from movements in market prices particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to. It is often propagated by other forms of financial risks such as credit and market liquidity risk events. The objective of market risk management programs is to manage and control market risk exposures in order to optimise return on risk taken while maintaining a good market profile as a provider of financial products and services.

Who manages market risk?

The Board Risk Management Committee reviews and approves market risk policies and limits periodically or as the need arises. The Treasury Department in consultation with the Risk Management Department are responsible for the development of detailed market risk management policies, subject to review and support by ALCO and approval by the Board Risk Management Committee.

The Board receives quarterly reports of market risk exposures or activities through relevant ALCO minutes, and Treasury reports outlining current risk exposures against approved risk limits or appetite.

How market risk is managed

The Group's Asset & Liability Committee (ALCO) oversees the application of the framework set by the Board of Directors and monitors the Group's market risk exposures as well as activities that give rise to these exposures. Overall responsibility for the management of market risks rests with ALCO which reviews market risk activity reports monthly. Treasury is responsible for the day to day implementation of those policies or programs and limits.

In view of the fact that our market risk operations are not very complex, we basically use interest rates variance analysis models (against budget and prior month), interest rate gap analysis, proportion of interest sensitive deposits to total deposits, amongst other methodologies and key performance indicators, appropriate for our Group's operations. The management of market risk is supplemented by the monitoring of key market risk and economic performance variables.

The distinct market risk exposures faced by the Group are:

- Interest rate risk.
- Foreign exchange risk.
- Price risk.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk

Interest rate risk represents exposures to instruments whose values vary with the level or volatility of interest rates. These instruments include, but are not limited to loans, debt securities, certain traded assets and liabilities, deposits, borrowings and derivative instruments. Generally, hedging instruments used by banks to mitigate such risks include related derivatives such as options and swaps.

The Group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced and invested at both fixed and floating rates. The maturities of assets and liabilities, plus the ability to replace interest bearing liabilities at an acceptable cost as they mature, are important factors in assessing the Group's exposure to changes in interest rates. In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are mainly pegged to the Kenya Bankers Reference Rate (KBRR) - for floating rate loans. The KBRR is adjusted every 6 months or when necessary (if earlier) to reflect prevailing market costs of Treasury bill rates and the Central Bank Reference rate.

Interest rates on customer deposits are negotiated between the Group and its customers, with the Group retaining the discretion to re-negotiate the rates at maturity in line with changes in market trends. The interest rates given or charged to clients therefore fluctuate depending on the movements in the market interest rates. The Group also invests in fixed interest rate instruments issued by the Government of Kenya, Tanzania and Uganda through their respective Central Banks. The interest rate risk assessment tables are found under pages 52 to 55.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Group's interest rate risk. It is unusual for a bank ever to completely be matched due to the nature of business terms and types of products offered.

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. At 31st December 2014, the following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile.

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
265,635	292,011	125 basis points increases in interest rates	375,861	366,042
(424,318)	(360,624)	125 basis points decrease in interest rates	(508,168)	(468,331)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Group (2014)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	-	2,996,571	-	-	-	62,276	7,480,649	10,539,496
Items in the course of collection	-	-	-	-	-	-	519,958	519,958
Due from banking institutions	2.30	7,353,488	829,330	-	-	-	571,092	8,753,910
Government securities	11.21	339,213	372,672	5,892,085	4,753,503	7,841,212	25,000	19,223,685
Derivative assets	-	-	-	-	-	-	118,781	118,781
Loans and advances to customers	13.11	92,388,750	1,282,316	3,230,987	1,773,803	2,129,494	-	100,805,350
Total financial assets		103,078,022	2,484,318	9,123,072	6,527,306	10,032,982	8,715,480	139,961,180
FINANCIAL LIABILITIES								
Customer deposits	4.91	32,476,458	38,012,294	11,968,522	51,562	-	17,926,118	100,434,954
Due to banking institutions	7.83	5,400,481	11,183	-	-	-	-	5,411,664
Borrowings	3.34	-	-	837,146	2,127,769	11,393,564	-	14,358,470
Total financial liabilities		37,876,939	38,023,477	12,805,668	2,179,331	11,393,564	17,926,118	120,205,097
Interest rate sensitivity gap		65,201,083	(35,539,160)	(3,682,596)	4,347,975	(1,360,582)	(9,210,638)	19,756,083

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Group (2013)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	-	-	-	-	-	-	8,743,544	8,743,544
Items in the course of collection	-	-	-	-	-	-	243,514	243,514
Due from banking institutions	2.30	4,068,010	731,909	-	-	-	1,120,280	5,920,199
Government securities	11.21	152,393	3,512,541	2,568,193	8,367,047	3,492,975	-	18,093,149
Derivative assets	-	-	-	-	-	-	48,049	48,049
Loans and advances to customers	13.11	76,244,340	789,781	1,544,996	3,475,087	1,439,110	-	83,493,314
Total financial assets		80,464,743	5,034,231	4,113,189	11,842,134	4,932,085	10,155,387	116,541,769
FINANCIAL LIABILITIES								
Customer deposits	4.91	18,330,738	40,031,247	9,678,397	142,514	-	23,382,110	91,565,006
Due to banking institutions	7.83	5,874,575	21,760	-	-	-	-	5,896,335
Borrowings	3.34	-	12,610	16,156	1,248,035	2,351,368	-	3,628,169
Total financial liabilities		24,205,313	40,065,617	9,694,553	1,390,549	2,351,368	23,382,110	101,089,510
Interest rate sensitivity gap		56,259,430	(35,031,386)	(5,581,364)	10,451,585	2,580,717	(13,226,723)	15,452,259

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Bank (2014)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Year Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	-	2,996,571	-	-	-	62,276	6,047,654	9,106,501
Items in the course of collection	-	-	-	-	-	-	484,521	484,521
Due from banking institutions	1.37	7,025,491	818,412	-	-	-	-	7,843,903
Government securities	10.81	-	19,090	3,900,709	4,693,100	7,841,212	-	16,454,111
Derivative assets	-	-	-	-	-	-	-	-
Loans and advances to customers	12.24	90,425,163	-	1,006,980	366,510	1,158,577	-	92,957,230
		100,447,225	837,502	4,907,689	5,059,610	9,062,065	6,532,175	126,846,266
FINANCIAL LIABILITIES								
Customer deposits	4.71	29,025,729	36,964,589	9,581,946	-	-	17,218,814	92,791,078
Due to banking institutions	7.61	4,614,223	11,183	-	-	-	-	4,625,406
Borrowings	3.34	-	-	788,692	1,661,953	11,393,564	-	13,844,209
Total financial liabilities		33,639,952	36,975,772	10,370,638	1,661,953	11,393,564	17,218,814	111,260,693
Interest rate sensitivity gap		66,807,273	(36,138,270)	(5,462,949)	3,397,657	(2,331,499)	(10,686,639)	15,585,573

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Bank (2013)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Year Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	-	-	-	-	-	-	7,044,946	7,044,946
Items in the course of collection	-	-	-	-	-	-	215,693	215,693
Due from banking institutions	1.37	3,457,499	731,909	-	-	-	-	4,189,408
Government securities	10.81	-	2,796,052	1,329,959	8,205,530	3,614,788	-	15,946,329
Derivative assets held for risk management	-	-	-	-	-	-	41,232	41,232
Loans and advances to customers	12.24	74,078,086	166,178	794,646	636,067	1,439,110	-	75,038,910
Total financial assets		77,535,585	3,694,139	2,124,605	8,841,597	5,053,898	7,301,871	104,551,695
FINANCIAL LIABILITIES								
Customer deposits	4.71	13,461,444	32,081,313	1,576,085	83,288	-	37,034,059	84,236,189
Due to banking institutions	7.61	4,910,171	-	-	-	-	-	4,910,171
Borrowings	3.34	-	12,610	16,156	1,248,035	2,351,368	-	3,628,169
Total financial liabilities		18,371,615	32,093,923	1,592,241	1,331,323	2,351,368	37,034,059	92,774,529
Interest rate sensitivity gap		59,163,970	(28,399,784)	532,364	7,510,274	2,702,530	(29,732,188)	11,777,166

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk

Foreign currency exchange risk refers to the potential changes in current and future earnings or capital arising from movements in foreign exchange market rates. The Group, through stringent intra-day and overnight exposure limits, ensures that the potential risk of loss arising from foreign exchange fluctuations to the Group's earnings and capital is within prudential guidelines and internal policies. Any material overnight position is covered by stop loss orders with our international counter-parties.

The Group is exposed to the risk that the value of foreign currency denominated financial instruments it holds will fluctuate due to changes in market foreign exchange rates. The Board of Directors periodically approves policies and limits on the maximum level of exposures by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures:

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates and does not exceed 10% of the Group's core capital.
- Any single currency exposure, irrespective of short or long positions does not exceed the limit of 10% of core capital.
- Intra-day and overnight foreign exchange positions are limited within strictly defined exposure and stop loss limits approved periodically by the Board Risk Management Committee.

The table on pages 57 to 61 summarise the Group's and Bank's exposure to foreign currency exchange rate risks.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

Foreign exchange risk – stress test

At 31 December 2014, if the functional currencies in the economic environment in which the Group operates i.e. the Kenya Shilling had weakened or strengthened by 10% against the world's major currencies, with all other variables held constant, consolidated profit before income tax expense would have been higher or lower as depicted in below table:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
		10% depreciation/appreciation		
4,189	5,477	USD	8,769	9,466
72	75	GBP	9,456	10,686
201	168	EUR	6,278	5,225
36	185	Others	16,665	20,146
4,498	5,905	Total	41,168	45,523

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Group (2014)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	863,812	119,473	78,052	36,694	1,098,031
Due from banking institutions	7,568,040	773,018	1,441,418	606,694	10,389,170
Loans and advances to customers	41,595,679	718,360	2,009,910	35,671	44,359,620
Other assets	199,443	1,368	809	126	201,746
Total financial assets	50,226,974	1,612,219	3,530,189	679,185	56,048,567
FINANCIAL LIABILITIES					
Customer deposits	28,948,791	1,547,715	2,087,997	43,351	32,627,854
Due to banking institutions	3,125,729		15,344	23,414	3,164,487
Other liabilities	2,283,780	9,119	49,526	1,652	2,344,077
Borrowings	8,906,294				8,906,294
Total financial liabilities	43,264,594	1,556,834	2,152,867	68,417	47,042,712
Net balance sheet position	6,962,380	55,385	1,377,322	610,768	9,005,855
OFF BALANCE SHEET POSITION	7,952,094	(2,046,675)	(469,050)	140,402	5,576,771

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Group (2013)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	850,595	449,631	395,078	70,235	1,765,539
Due from banking institutions	4,274,771	335,176	49,359	354,540	5,013,846
Loans and advances to customers	32,183,883	657,147	1,651,328	115	34,492,473
Other assets	3,878,847	2,003	1,155	429,818	4,331,823
Total financial assets	41,188,096	1,443,957	2,096,920	854,708	45,583,681
FINANCIAL LIABILITIES					
Customer deposits	23,925,848	3,317,109	2,407,377	114,780	29,765,114
Due to banking institutions	4,235,752	3	50,585	9,267	4,295,607
Other liabilities	3,628,169	-	-	-	3,628,169
Borrowings	1,617,305	376,492	13,028	7,085	2,031,910
Total financial liabilities	33,407,074	3,693,604	2,470,990	131,132	39,702,800
Net balance sheet position	7,801,022	(2,249,647)	(374,070)	723,576	5,900,881
OFF BALANCE SHEET POSITION	7,952,094	(2,046,675)	(469,050)	140,402	5,576,771

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Bank (2014)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	687,163	119,461	77,069	33,844	917,537
Due from banking institutions	7,201,912	770,228	1,383,865	575,677	9,931,682
Loans and advances to customers	39,241,806	718,360	2,009,910	35,671	42,005,747
Other assets	195,100	1,368	809	126	197,403
Total financial assets	47,325,981	1,609,417	3,471,653	645,318	53,052,369
FINANCIAL LIABILITIES					
Customer deposits	28,207,832	1,544,687	2,087,997	43,351	31,883,867
Due to banking institutions	3,125,729	-	15,344	23,414	3,164,487
Other liabilities	113,630	9,119	49,526	1,652	173,927
Borrowings	8,108,711	-	-	-	8,108,711
Total financial liabilities	39,555,902	1,553,806	2,152,867	68,417	43,330,992
Net balance sheet position	7,770,079	55,611	1,318,786	576,901	9,721,377
OFF BALANCE SHEET POSITION	(8,636,082)	57,639	(1,205,674)	(198,383)	(9,982,500)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Bank (2013)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	448,713	434,518	368,528	63,780	1,315,539
Due from banking institutions	2,543,980	335,176	49,359	354,540	3,283,055
Loans and advances to customers	30,173,096	657,138	1,651,322	45	32,481,601
Other assets	3,490,483	1,045	320	19,661	3,511,509
Total financial assets	36,656,272	1,427,877	2,069,529	438,026	40,591,704
FINANCIAL LIABILITIES					
Customer deposits	21,549,710	3,303,625	2,382,968	74,767	27,311,070
Due to banking institutions	3,249,851	-	50,584	9,009	3,309,444
Other liabilities	3,628,169	-	-	-	3,628,169
Borrowings	450,198	273,415	11,944	4,201	739,758
Total financial liabilities	28,877,928	3,577,040	2,445,496	87,977	34,988,441
Net balance sheet position	7,778,344	(2,149,163)	(375,967)	350,049	5,603,263
OFF BALANCE SHEET POSITION	7,952,094	(2,046,675)	(469,050)	140,402	5,576,771

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

III. Price risk

Shares quoted in the Nairobi Securities Exchange ("NSE") i.e "listed shares" are stated at their fair value on the last day of business in the year. These values are subject to frequent variations due to changes in their market prices.

At 31 December 2014, if the prices at the NSE had appreciated/depreciated by 5% with all other variables held constant, the impact on the statement of profit or loss, and shareholders' equity would have been Shs 3,076,000 (2013: Shs 2,150,000) higher/lower.

The Group's carries its unquoted equity investment in Tanzania Mortgage Refinance Company at fair value (Note 25). The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant.

d) Capital management

The Group's objectives when managing capital are:

- To safeguard the Group's ability to continue as a going concern in order to provide acceptable returns to the shareholders and benefits for other stakeholders while maintaining an optimal capital structure.
- To comply with capital requirements set by our regulators within the markets that the Group operates in.
- To maintain a strong capital base to support continued business development.
- To create an acceptable buffer catering for unexpected losses that the Group may incur in adverse market scenarios during the course of its business.
- To manage its capital structure and make adjustments to it according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities.

The Group's objectives when managing capital are broadly covered as follows:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

d) Capital management (Continued)

I Banking

In line with our industry, the broader concept of capital and its adequacy is based on guidelines developed by the Basel Committee's Accords and implemented for supervisory purposes by the central banks.

Central Bank of Kenya (CBK), Bank of Tanzania (BOT) and Bank of Uganda (BOU) largely segregate the total regulatory capital into two tiers;

- Tier 1 Capital (Core Capital), which includes ordinary share capital, share premium and retained earnings. The investment in subsidiaries or other financial institutions is deducted in arriving at tier 1 capital.
- Tier 2 Capital (Supplementary Capital) includes among others, 25% of property revaluation reserves (subject to regulatory approval) and collective impairment allowances.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of, the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

During the year, the banks within the group had complied in full with all its externally imposed capital requirements (2013: the same).

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
<u>18,826,499</u>	<u>14,108,111</u>	Tier 1 capital	<u>20,722,594</u>	<u>15,972,003</u>
<u>27,340,192</u>	<u>14,875,986</u>	Tier 1 + Tier 2 capital	<u>29,353,065</u>	<u>16,852,593</u>
		Risk-weighted assets		
<u>119,900,142</u>	<u>82,368,553</u>	On-balance sheet	<u>127,704,854</u>	<u>89,314,748</u>
<u>11,144,400</u>	<u>12,851,033</u>	Off-balance sheet	<u>11,791,780</u>	<u>13,587,927</u>
<u>131,044,542</u>	<u>95,219,586</u>	Total risk-weighted assets	<u>139,496,634</u>	<u>102,902,675</u>

Regulatory ratios			Minimum requirements	
			2014	2013
14.37%	14.82%	Core capital/risk assets	10.5%	8.0%
20.47%	16.79%	Core capital/deposits	8.0%	8.0%
20.86%	15.62%	Total capital/risk assets	14.5%	12.0%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

d) Capital management (Continued)

II Investment banking and stock brokerage businesses

The Capital Markets Authority, which regulates the Group's Investment Banking and Stock Brokerage businesses i.e NIC Capital Limited and NIC Securities Limited respectively, prescribes minimum capitalisation requirements and a working capital of not below 20% of the prescribed minimum shareholders' funds or three times the average monthly operating costs whichever is higher. The subsidiaries maintained their capital together with the other requirements well above the minimum requirements as outlined below;

	NIC Capital Shs'000	NIC Securities Shs 000
Minimum capital	250,000	50,000
Capital held as at;		
31 December 2014	518,764	349,230
31 December 2013	509,899	377,120

e) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- i) Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active trading markets for identical assets or liabilities. This level includes listed debt and equity instruments traded mainly on the Nairobi Securities Exchange ("NSE").
- ii) Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from Reuters and the Nairobi Securities Exchange. The external valuation of buildings has been performed using a sales comparison approach.
- iii) Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs). The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

e) Fair value of financial assets and liabilities (Continued)

The table below shows an analysis of financial instruments at fair value by level of the fair value hierarchy.

Bank		Note	Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
Level 1				
-	-			
13,256,988	11,974,223	20	126,762	155,335
-	-	20	13,580,526	12,393,099
		25	123,780	33,990
13,256,988	11,974,223		13,831,068	12,582,424
Level 2				
118,781	41,232	21	118,781	48,049
370,000	370,000		370,000	370,000
488,781	411,232		488,781	418,049
Level 3				
-	-		25,380	25,470
-	-	25	-	191,000
-	-		25,380	216,470

There was a transfer from Level 3 to level 1, following the listing of the NSE shares in the stock exchange which were previously unquoted.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

f) Fair value of financial assets and liabilities (Continued)

The table below shows an analysis of the fair value of financial instruments that are not carried at fair value by level of the fair value hierarchy.

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
Level 1				
3,197,123	3,972,106	Government securities – held to maturity	5,515,795	5,544,716
Level 2				
<i>Financial assets</i>				
9,106,501	7,044,946	Cash and balances with central banks	10,539,496	8,743,544
484,521	215,693	Items in the course of collection	519,958	243,514
7,843,903	4,189,408	Due from banking institutions	8,753,909	5,920,199
92,957,230	75,038,910	Loans and advances to customers	100,575,330	81,418,136
2,098,238	2,044,162	Due from group companies	-	-
1,466,805	2,075,177	Investments	1,615,965	2,325,637
113,957,198	90,608,296		122,004,658	98,651,030
<i>Financial liabilities</i>				
92,791,078	84,236,189	Customer deposits	100,434,954	91,565,005
4,625,406	4,910,171	Due to banking institutions	5,411,664	5,896,334
13,844,209	3,628,169	Borrowings	14,358,480	3,628,169
809,452	537,980	Due to group companies	-	-
112,070,145	93,312,509		120,205,098	101,089,508

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

- Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Nairobi Securities Exchange.
- Level 2 – The fair value of these balances is equal to their amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Critical accounting estimates and judgments in applying the Group's accounting policies

I Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

II Held -to-maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value and not amortised cost.

III Goodwill impairment

The Group's accounting policy for goodwill is described in Note 3 (n) I. Goodwill is allocated to cash-generating units ('CGU') for the purpose of impairment testing. When the process of identifying and evaluating goodwill impairment demonstrates that the expected cash flows of a CGU have declined and/or that its cost of capital has increased, the effect is to reduce the CGU's estimated fair value. If this results in an estimated recoverable amount that is lower than the carrying amount of the CGU, a charge for impairment of goodwill will be recorded, thereby reducing by a corresponding amount the Group's profit for the year. Goodwill is stated at cost less accumulated impairment losses. Significant management judgement is involved in determining the cost of capital assigned to an individual CGU and in estimating its future cash flows.

IV Property and equipment

Critical estimates are made by the directors in determining depreciation rates for property and equipment.

V Fair value of trade receivables and payables

The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments.

VI Taxes

The Group is subjected to numerous taxes and levies by various government and quasi- government regulatory bodies. As a rule of thumb, the Group recognises liabilities for the anticipated tax/levies payable with utmost care and diligence. However, significant judgment is usually required in the interpretation and applicability of those taxes/levies. Should it come to the attention of management, in one way or the other, that the initially recorded liability was erroneous, such differences will impact on the income and liabilities in the period in which such differences are determined.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Critical accounting estimates and judgments in applying the Group's accounting policies (Continued)

VII Valuation of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. The directors believe that the chosen valuation techniques and assumptions used in the valuation of its investments in NSE shares are appropriate in determining the fair value of financial instruments.

VIII Classification of leases of land and buildings as finance or operating leases

At the inception of each lease of land or building, the Group considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

The Group also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and
- the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments

a) Geographical segments

The Group operations are within three geographical segments, Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Chief Operating Decision Maker (the Group Executive Committee of management) for the year ended 31 December 2014.

2014

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Interest income	12,376,325	927,740	407,003	13,711,068
Interest expense	(5,074,013)	(489,165)	(149,771)	(5,712,949)
Net interest income	7,302,312	438,575	257,232	7,998,119
Credit impairment charges	(295,494)	(26,171)	(7,467)	(329,133)
Net interest income after credit impairment charges	7,006,818	412,404	249,765	7,668,987
Net fee, commission, trading and other income	3,231,560	238,784	37,795	3,508,138
Operating income	10,238,378	651,188	287,560	11,177,125
Depreciation and amortisation	(393,019)	(81,660)	(29,956)	(504,635)
Other operating expenses	(3,686,149)	(513,701)	(241,991)	(4,441,841)
Profit before income tax	6,159,210	55,827	15,612	6,230,650
Income tax (expense)/credit	(2,104,050)	(15,011)	5,068	(2,113,976)
Profit after income tax	4,055,160	40,816	20,698	4,116,674
Loans and advances to customers	92,957,230	4,404,867	3,213,233	100,575,330
Customer deposits	92,791,078	6,194,331	1,449,545	100,434,954
Additions to non-current assets	(71,458)	(50,460)	13,205	(108,713)
Non-current assets	1,402,525	238,391	103,864	1,744,780

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments (Continued)

a) Geographical segments (Continued)

2013

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Interest income	10,313,259	1,087,040	242,117	11,642,416
Interest expense	(3,760,140)	(532,412)	(81,885)	(4,374,437)
Net interest income	6,553,119	554,628	160,232	7,267,979
Credit impairment charges	(479,185)	(612,074)	(1,614)	(1,092,873)
Net interest income after credit impairment charges	6,073,934	(57,446)	158,618	6,175,106
Net fee, commission, trading and other income	2,861,056	249,329	44,822	3,155,207
Operating income	8,934,990	191,883	203,440	9,330,313
Depreciation and amortisation	(365,025)	(57,090)	(23,991)	(446,106)
Other operating expenses	(3,167,578)	(530,016)	(177,042)	(3,874,636)
Profit before income tax	5,402,387	(395,223)	2,407	5,009,571
Income tax (expense)/credit	(1,887,043)	117,735	(2,962)	(1,772,270)
Profit after income tax	3,515,344	(277,488)	(555)	3,237,301
Loans and advances to customers	75,038,910	4,181,683	2,197,543	81,418,136
Customer deposits	84,236,189	6,040,852	1,287,964	91,565,005
Additions to non-current assets	27,128	59,967	(10,309)	76,786
Non-current assets	1,473,983	288,851	90,659	1,853,493

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments (Continued)

b) Business segments

The Group maintains the following business segments for allocation of resources and assessment of performance.

I. Corporate and Institutional Banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

II. Treasury dealing and brokerage

Treasury dealing targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business, whereas the stock brokerage focuses on the execution of transactions at the Nairobi Securities Exchange on behalf of high net worth and institutional clients.

III. Retail banking

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit, transactional banker and financier. This also includes our asset finance product.

IV. Investment banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements.

The segment information provided to the Executive Committee of management for the reported segments is contained on the next page. There were no changes in the reportable segments during the year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments (Continued)

Segmental reporting – by business segments

2014	Corporate & Institutional Banking Shs '000	Treasury Dealing and Brokerage Shs '000	Retail Banking Shs '000	Investment Banking and Others Shs '000	Total Shs '000
Total operating income	<u>3,666,379</u>	<u>3,119,372</u>	<u>3,465,137</u>	<u>1,255,370</u>	<u>11,506,528</u>
Profit before income tax and credit impairment charges	<u>3,297,276</u>	<u>1,531,423</u>	<u>1,492,007</u>	<u>239,077</u>	<u>6,559,783</u>
Customer loans and advances	<u>62,747,598</u>	<u>-</u>	<u>31,728,082</u>	<u>6,099,650</u>	<u>100,575,330</u>
Customer deposits	<u>62,977,611</u>	<u>-</u>	<u>29,605,395</u>	<u>7,851,948</u>	<u>100,434,954</u>
2013					
Total operating income	<u>3,428,780</u>	<u>2,882,674</u>	<u>3,000,489</u>	<u>1,111,244</u>	<u>10,423,186</u>
Profit before income tax and credit impairment charges	<u>2,578,214</u>	<u>1,648,433</u>	<u>1,491,517</u>	<u>384,280</u>	<u>6,102,444</u>
Customer loans and advances	<u>49,688,729</u>	<u>-</u>	<u>23,142,829</u>	<u>8,586,578</u>	<u>81,418,136</u>
Customer deposits	<u>57,119,886</u>	<u>-</u>	<u>26,722,743</u>	<u>7,722,375</u>	<u>91,565,005</u>

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

There were no revenues deriving from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

7) Interest income

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
		From customers		
2,977,065	2,715,229	- Finance leases	2,982,837	2,844,617
7,402,830	5,876,851	- Loans and advances	8,386,187	6,759,582
10,379,895	8,592,080		11,369,024	9,604,199
		Government securities		
380,435	440,315	- Held to maturity	647,777	588,590
-	-	- At fair value through profit or loss	24,033	68,160
1,404,156	1,127,882	- Available for sale	1,407,945	1,135,706
1,784,591	1,568,197		2,079,755	1,792,456
211,839	152,981	Due from banking institutions	262,289	245,761
12,376,325	10,313,258		13,711,068	11,642,416
30,879	45,637	Interest income earned on impaired financial assets	30,879	45,637

Interest income earned on impaired financial assets represents the unwinding of discounting in accordance with IAS 39.

8) Interest expense

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
4,567,464	3,535,051	Customer deposits	5,062,509	4,001,167
366,093	121,497	Borrowings	440,751	156,776
163,289	122,930	Due to banking institutions	209,689	216,494
5,096,846	3,779,478		5,712,949	4,374,437

9) Net fee and commission income

Fee and commission income

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
983,368	799,318	Credit related fees and commissions	1,060,521	880,990
372,781	336,894	Service / transaction fees	471,772	422,639
1,356,149	1,136,212		1,532,293	1,303,629

NOTES TO THE FINANCIAL STATEMENTS (Continued)

9) Net fee and commission income (Continued)

Fee and commission expense

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
23,739	20,171	Credit card related expenses	23,739	20,171
28,544	32,152	Transactional expenses	41,302	42,940
52,283	52,323		65,041	63,111

10) Net trading income

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
1,039,583	1,018,443	Foreign exchange income	1,142,181	1,146,510
305,199	211,465	Bond trading income	305,886	211,465
-	-	Fair value gain on investment in quoted shares (note 25 (a))	(11)	5,058
1,344,782	1,229,908		1,448,056	1,363,033

11) Other operating income

The following items are included in other operating income

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
8,592	8,519	Rental income	5,050	4,979
1,151	1,749	Gain on disposal of motor vehicle and equipment (note 39 (c))	1,151	1,749
656	6,872	Bad debt recoveries	8,337	8,459
104,753	89,044	Trust and other fiduciary fees	104,753	89,044

12) Credit impairment charges

a) Specific allowance for impairment

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
1,996,326	1,583,147	At 1 January	2,592,033	1,652,986
-	-	Exchange difference on translation	(5,996)	(42,900)
376,358	435,628	Charge for the year	408,718	1,030,279
(70,973)	(22,449)	Write-offs	(314,395)	(48,332)
2,301,711	1,996,326	At 31 December	2,680,360	2,592,033

NOTES TO THE FINANCIAL STATEMENTS (Continued)

12) Impairment on loans and advances (Continued)

b) Collective allowance for impairment

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
143,021	99,464	At 1 January	170,102	107,508
-	-	Exchange difference on translation	(25,423)	-
(80,864)	43,557	Charge for the year	(79,585)	62,594
62,157	143,021	At 31 December	65,094	170,102

c) Total allowance for impairment

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
2,139,347	1,682,611	At 1 January	2,762,135	1,760,494
-	-	Exchange difference on translation	(31,419)	(42,900)
295,494	479,185	Charge for the year	329,133	1,092,873
(70,973)	(22,449)	Write-offs	(314,395)	(48,332)
2,363,868	2,139,347	At 31 December	2,745,454	2,762,135

13) Employee benefits

The following items are included under employee benefits:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
1,771,191	1,635,487	Salaries and wages	2,174,346	2,015,066
5,032	296	Gratuity provision	5,032	296
14,551	13,570	Directors' emoluments – fees	31,562	23,512
133,908	138,712	– other	188,836	193,119
2,395	1,659	Pension costs - statutory contributions	25,285	21,878
124,862	107,126	Pension costs – defined contribution	135,881	113,637
2,051,939	1,896,850	At 31 December	2,560,942	2,367,508

The total number of employees as at 31 December 2014 for the Group was 1001 (2013: 909).

14) (a) Depreciation and amortisation

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
215,287	202,648	Depreciation (note 27)	297,153	249,108
176,442	161,193	Amortisation of computer software (note 28 (a))	207,357	196,873
125	125	Amortisation of operating lease (note 29)	125	125
391,854	363,966	At 31 December	504,635	446,106

NOTES TO THE FINANCIAL STATEMENTS (Continued)

14) (b) Other operating expenses

The following items are included under this category:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
4,500	3,956	Auditors' remuneration	13,108	9,046
173,819	138,420	Rental charges	290,441	252,667
24,092	21,785	Share registrations costs	24,092	21,785
135,172	92,344	Publicity and advertising	144,555	98,047
93,585	75,254	Other premises costs	108,263	88,212
116,067	101,801	Deposit protection fund	129,823	109,488
<u>149,611</u>	<u>108,816</u>	IT expenses	<u>168,347</u>	<u>123,154</u>

15) Income tax

a) Income tax expense

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
		Current tax		
1,992,665	1,854,682	Income tax based on taxable profit for the year at 30%	2,044,527	1,803,410
(19,102)	-	Prior year over provision - current tax	(19,102)	-
1,973,563	1,854,682		2,025,425	1,803,410
		Deferred tax (note 26)		
94,962	(82,252)	- Current year	94,962	(93,991)
(6,411)	62,851	- Prior year under provision	(6,411)	62,851
2,062,114	1,835,281		2,113,976	1,772,270

b) Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the profit before tax differs from the tax charge that would apply if all profit had been taxed using the statutory income tax rate:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
6,081,281	5,220,857	Profit before tax	6,230,650	5,009,571
1,824,384	1,566,257	Income tax - at the statutory rate of 30 % (2013: 30%)	1,869,195	1,502,871
816,245	705,540	Tax effect of expenses not deductible for tax	816,133	705,540
(553,002)	(499,367)	Tax effect of revenues that are not taxable	(564,941)	(498,992)
		- Prior year under provision - current tax		-
(19,102)	-	- Current tax – Prior year		-
(6,411)	62,851	Deferred tax – prior year	(6,411)	62,851
2,062,114	1,835,281		2,113,976	1,772,270

NOTES TO THE FINANCIAL STATEMENTS (Continued)

15) Income tax

c) Current income tax payable/(recoverable) movement

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
296,595	382,138	At 1 January	117,862	365,465
-	-	Exchange difference on translation	31,141	1,887
1,992,665	1,854,682	Tax charge (note 15 (a)) - current year	2,044,527	1,803,410
(19,102)	-	Tax charge (note 15 (a)) - prior year	(19,102)	-
(2,213,588)	(1,940,225)	Income taxation paid	(2,284,718)	(2,052,900)
56,570	296,595	At 31 December	(110,290)	117,862
Comprising;				
56,570	-	Current income tax recoverable	(185,185)	(188,847)
-	296,595	Current income tax payable	12,613	306,709
56,570	296,595	At 31 December	(172,572)	117,862

16) Earnings per share

Earnings per share is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding during the year.

Bank			Group	
2014	2013		2014	2013
4,019,167	3,385,576	Profit attributable to equity holders of the Bank (Shs'000)	4,120,855	3,323,381
Weighted average number of shares for purposes of basic and diluted earnings per share:				
542,984,148	542,984,148	Issued ordinary shares at 1 January	542,984,148	542,984,148
3,555,253	-	Effects of rights issue exercised	3,555,253	-
36,198,943	-	Effects of bonus shares issued	36,198,943	-
582,738,344	542,984,148	At 31 December	582,738,344	542,984,148
6.90	6.24	Earnings Per Share (Shs)	7.07	6.12

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent company. There were no discontinued operations during the year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

17) Cash and balances with central banks

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
1,026,642	1,094,149	Cash on hand	1,472,964	1,470,144
		Balances with central banks:		
2,996,571	-	- Reverse purchase agreement	2,996,571	-
		- Other (available for use by the Group)		
<u>300,367</u>	<u>1,640,932</u>		<u>560,394</u>	<u>2,238,206</u>
4,323,580	2,735,081	Included in cash and cash equivalents (note 39 (b))	5,029,929	3,708,350
<u>4,782,921</u>	<u>4,309,865</u>	Mandatory reserve deposits	<u>5,509,567</u>	<u>5,035,194</u>
<u>9,106,501</u>	<u>7,044,946</u>		<u>10,539,496</u>	<u>8,743,544</u>

The mandatory reserve deposits mainly represents regulatory cash ratio requirements based on the customer deposits with the Group. As at 31 December 2014, the cash ratio requirement was 5.25% (2013: 5.25%) in Kenya, 10.0% (2013 – 10.0%) in Tanzania and 8.5% (2013 – 8.5%) in Uganda of eligible deposits. These funds are not available for the day to day operations of the Group and are non interest earning.

Amounts included in cash and cash equivalents are current. Mandatory reserve deposits are non-current.

Cash and balances with central banks are classified as 'loans and receivables'.

18) Items in the course of collection

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
<u>484,521</u>	<u>215,693</u>	Clearing account balances	<u>519,958</u>	<u>243,514</u>

Items in the course of collection are current and are classified as 'loans and receivables'.

19) Due from banking institutions

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
889,249	732,225	Deposits due from banking institutions	1,799,255	1,422,915
<u>6,954,654</u>	<u>3,457,183</u>	Balances due from banking institutions	<u>6,954,654</u>	<u>4,497,284</u>
<u>7,843,903</u>	<u>4,189,408</u>		<u>8,753,909</u>	<u>5,920,199</u>
<u>2.70%</u>	<u>3.65%</u>	Weighted average effective interest	<u>3.0%</u>	<u>4.16%</u>

Balances dues from banking institutions are current and are classified as 'loans and receivables'.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

20) Government securities

Securities held to maturity are stated at amortised cost while those classified as "Fair value through profit or loss" and "Available for Sale" are stated at fair value.

a) Government securities are categorised as follows:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
13,256,988	11,974,224	Available for sale	13,581,129	12,393,099
3,197,123	3,972,106	Held to maturity	5,515,795	5,544,716
		Fair value through profit or loss		
-	-	Held for trading	126,762	155,335
<u>16,454,111</u>	<u>15,946,330</u>		<u>19,223,686</u>	<u>18,093,150</u>

The table below summarises the weighted average effective interest rate for government securities.

Bank			Group	
2014	2013		2014	2013
%	%		%	%
11.09	11.09	Held to maturity	10.89	10.62
-	-	Fair value through profit or loss	11.76	12.78
10.42	11.55	Available for sale	9.92	9.16

b) The maturity profile of government securities is as follows:

Maturity	Held to maturity	Designated at fair value through profit or loss	Available for sale	Total
	Shs `000	Shs `000	Shs `000	Shs `000
Group				
2014				
Included in cash and cash equivalents	696,965	-	-	696,965
Less than 1 year	1,518,813	126,762	1,881,810	3,527,385
1-5 years	3,194,357	-	7,064,823	10,259,180
Over 5 years	105,660	-	4,634,496	4,740,156
	<u>5,515,795</u>	<u>126,762</u>	<u>13,581,129</u>	<u>19,223,686</u>
2013				
Included in cash and cash equivalents	3,585,870	-	-	3,585,870
Less than 1 year	914,011	155,335	1,617,616	2,686,962
1-5 years	783,385	-	7,422,145	8,205,530
Over 5 years	261,450	-	3,353,338	3,614,788
	<u>5,544,716</u>	<u>155,335</u>	<u>12,393,099</u>	<u>18,093,150</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

20) Government securities (Continued)

b) The maturity profile of Government securities is as follows: (Continued)

Bank	Held to maturity Shs `000	Available for sale Shs `000	Total Shs `000
2014			
Included in cash and cash equivalents	202,520	-	202,520
Less than 1 year	2,094,653	1,881,810	3,976,463
1-5 years	794,290	6,766,282	7,560,572
Over 5 years	105,660	4,608,896	4,714,556
	<u>3,197,123</u>	<u>13,256,988</u>	<u>16,454,111</u>
2013			
Included in cash and cash equivalents	2,679,288	-	2,679,288
Less than 1 year	247,983	1,198,740	1,446,723
1-5 years	783,385	7,422,145	8,205,530
Over 5 years	261,450	3,353,338	3,614,788
	<u>3,972,106</u>	<u>11,974,223</u>	<u>15,946,329</u>

21) Derivative assets

The amount represents the fair value of forward foreign exchange contracts. These derivative assets and liabilities are measured at fair value through profit or loss. Notional principal amounts are the amounts underlying the contract at the reporting date.

Bank			Group	
2014 Shs'000	2013 Shs'000		2014 Shs'000	2013 Shs'000
<u>118,781</u>	<u>41,232</u>	Fair value of forward contracts	<u>118,781</u>	<u>48,049</u>
<u>30,381,438</u>	<u>24,858,686</u>	Notional value of forward contracts	<u>32,567,890</u>	<u>34,630,655</u>

Derivative assets are current.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

22) Loans and advances to customers

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
22,463,366	19,963,644	Finance lease receivables	23,071,819	20,516,783
64,021,727	50,198,767	Commercial loans	71,412,960	56,647,640
8,836,005	7,015,848	Bills discounted	8,836,005	7,015,848
95,321,098	77,178,259	Gross loans and advances to customers	103,320,784	84,180,271
		Provisions for impairment		
2,301,711	1,996,328	Specific allowance	2,680,360	2,592,033
62,157	143,021	Collective allowance	65,094	170,102
2,363,868	2,139,349	Total impairment	2,745,454	2,762,135
92,957,230	75,038,910	Net loans and advances to customers	100,575,330	81,418,136
		Net non-performing loans and advances to customers		
941,369	1,142,393		1,351,648	1,928,893

Finance lease receivables, may be analysed as follows:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
3,286,614	2,632,611	Not later than 1 year	3,302,462	2,646,665
19,176,752	17,331,033	Later than 1 year and not later than 5 years	19,769,357	17,870,118
22,436,366	19,963,644		23,071,819	20,516,783
22,463,366	19,963,644	Present value of minimum lease payments receivable	23,071,819	20,516,783
1,239,449	994,447	Accumulated allowance for uncollectible minimum lease payments receivable	1,239,449	994,447

The Group and Bank enter into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2013: nil).

There are no contingent rents recognised as income in 2013 and 2014.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

22) Loans and advances to customers (Continued)

The weighted average effective interest rates on loans and advances to customers at year end were as follows:

Bank			Group	
2014	2013		2014	2013
%	%		%	%
14.08	14.51	Finance lease receivables	12.93	13.23
11.54	11.81	Commercial loans	10.58	11.28
8.69	9.62	Bills discounted	8.69	9.62
Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
45,403,980	35,924,094	Current	49,944,378	39,899,499
47,553,250	39,114,816	Non-current	50,630,952	41,518,637
92,957,230	75,038,910		100,575,330	81,418,136

23) Other assets

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
165,176	128,500	Prepayments	205,071	193,277
895,156	1,061,974	Other receivables	927,506	1,141,307
-	-	Trade receivables	154,122	196,622
1,060,332	1,190,474		1,286,699	1,531,206

Other assets are current. Other assets, excluding prepayments, are classified as 'loans and receivables'.

24) Due from group companies

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
8,510	6,848	NIC Capital	-	-
9,882	7,398	NIC Securities	-	-
166,239	352,722	NIC Bank Tanzania	-	-
1,913,789	1,677,194	NC Bank Uganda	-	-
2,098,420	2,044,162		-	-

Services are provided based on the price lists in force and terms that would be available to third parties.

Balances due from group companies are current and are classified as 'loans and receivables'.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

25) Investments

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
3,931,501	3,365,493	Investment in subsidiaries	-	-
-	-	Available for sale investments	15,155	33,990
-	-	Unquoted equity security in Tanzania		
-	-	Mortgage Refinance Company	25,380	25,470
1,466,805	2,075,177	Corporate Bonds	1,466,805	2,075,177
-	-	Equity investment in NSE	108,625	191,000
<u>5,398,306</u>	<u>5,440,670</u>		<u>1,615,965</u>	<u>2,325,637</u>

The Group's equity investment in the Nairobi Securities Exchange (NSE) was converted to shares in the year following the listing of the company's stock on its own exchange. The valuation as at 31 December 2014 was based on the quoted share price.

Investment in subsidiaries is non-current. The other investments are current.

a) The movement in investments is as follows:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
5,440,670	2,285,324	At start of year	2,325,637	243,931
		Exchange differences on translation	90	1,471
550,000	-	Acquisition of NIC Properties	-	-
(608,372)	2,075,177	Available for sale investments	(18,835)	5,058
16,008	1,080,169	Corporate Bonds	(608,372)	2,075,177
		Investment in NIC Bank Tanzania	-	-
-	-	Changes in fair value – investment in quoted shares	(82,375)	-
<u>5,398,306</u>	<u>5,440,670</u>	At end of year	<u>1,615,965</u>	<u>2,325,637</u>

Investments, excluding investments in subsidiaries, are classified as 'assets at fair value through profit and loss'. None of the financial assets are impaired.

b) Investment in subsidiaries (at cost)

BANK

Name	Principal activity	Holding %	2014	2013
			Shs'000	Shs'000
NC Bank Uganda	Banking	100	1,137,538	1,137,538
NIC Bank Tanzania	Banking	69.84	1,692,462	1,676,454
NIC Capital	Financial advisory	100	500,000	500,000
NIC Insurance Agents	Insurance agency	100	1,000	1,000
National Industrial Credit Trustees	Dormant	100	500	500
Mercantile Finance Company	Dormant	100	50,000	50,000
The African Mercantile Banking Company	Dormant	100	1	1
NIC Properties	Property	100	550,000	-
			<u>3,931,501</u>	<u>3,365,493</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

25) Investments (Continued)

b) Investment in subsidiaries (at cost) (Continued)

NIC Capital Limited has a subsidiary, NIC Securities Limited whose results have been incorporated in these financial statements. Details of NIC Securities Limited at cost are as follows:

Name	Principal activity	Holding %	2014 Shs `000	2013 Shs `000
NIC Securities Limited	Brokerage services	100%	456,923	456,240

All the subsidiary companies have their financial year ended 31 December and are incorporated as limited liability companies. Except for NIC Bank Tanzania Limited and NC Bank Uganda Limited which are incorporated and domiciled in Tanzania and Uganda respectively, all other subsidiaries are incorporated and domiciled in Kenya.

NC Bank Uganda Limited was established in 2012 to offer banking services for our customers in Uganda. The audited financial statements for the year ended 31 December 2014 show that the company made a profit equivalent to Shs 20,698,000 (2013: a loss of Shs 555,000).

NIC Bank Limited acquired 51% of Savings & Finance Commercial Bank Limited now renamed NIC Bank Tanzania Ltd with effective control being passed on 1 May 2009. The audited financial statements for the year ended 31 December 2014 show that the company made a profit equivalent to Shs 40,816,000 (2013: a loss of Shs 277,488,000).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2014 show that the company made a profit of Shs 8,865,000 (2013: Shs 72,794,000).

NIC Capital Limited (NICCL) acquired NIC Securities Ltd (NICSL) with effective control being passed on 1 January 2008. Subsequently, substantially through rights issues, the shareholding of NICCL in NICSL has increased to 100%. NICSL offers brokerage services and is a registered broker with the Nairobi Securities Exchange. The audited financial statements for the year ended 31 December 2014 show that the company made a profit of Shs 55,485,000 (2013: Shs 35,162,000). The results of NIC Securities Limited are consolidated in these financial statements.

NIC Insurance Agents Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2010, NIC Bank Limited acquired the non-controlling interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31 December 2014 show that the company made a profit of Shs 26,326,000 (2013: Shs 21,799,000).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2013: Shs nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2014. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2013: Shs nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2014. The audited financial statements show that the company made no profit or loss for the year (2013: Shs nil).

NIC Properties Limited was acquired during the year ended 31 December 2014 and did not trade. The audited financial statements show that the company made no profit or loss for the year (2013: Shs nil).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

25) Investments (Continued)

b) Investment in subsidiaries (at cost) (Continued)

In April 2014, the Bank acquired a 100% shareholding in Codicote Limited for a consideration of Shs 550 million. The sole asset of Codicote Limited is Land LR NO. 209/13628 adjacent to the headquarters of the Bank in Upperhill, Nairobi. The Company name was subsequently changed to NIC Properties whose sole activity is the ownership of the Land. The audited financial statements for the year ended 31 December 2014 show that the company made no profit (2013: Shs nil).

The effect of acquisition to the owners of the Bank is summarised as follows:

	2014 Shs'000
Consideration paid	550,000
Less fair value of net assets acquired	<u>516,000</u>
Excess of consideration paid recognised as goodwill	<u><u>34,000</u></u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

26) Deferred income tax

The net deferred tax computed at the enacted rate of 30%, is attributable to the following items:

Group				
Year ended 31 December 2014	1 Jan 2014	(Credit)/ Charge to profit or loss	Credit to OCI	31 Dec 2014
	Shs'000	Shs'000	Shs'000	Shs'000
Assets:				
Leave pay accrual	(10,153)	(837)	-	(10,990)
Gratuity Provision	-	(2,034)	-	(2,034)
Excess depreciation over capital allowances				
- current year	(223,432)	(83,249)	-	(306,681)
- prior year	62,851	(62,851)	-	-
Collective allowance for impairment	(313,149)	59,451	-	253,698
Other provisions	-	-	-	-
Tax losses	(38,469)	-	-	(38,469)
	(522,352)	(89,520)	-	(611,872)
Liabilities:				
Available for sale financial assets				
- Current year	(75,174)	-	104,606	29,432
- Prior year	187,357	-	-	187,357
Revaluation surplus	76,237	-	-	76,237
Exchange differences on translation	5,144	-	-	5,144
Deferred income tax asset	(328,788)	(89,520)	104,606	(313,702)
Year ended 31 December 2013	1 Jan 2013	(Credit)/ Charge to profit or loss	Charge/ (Credit) to OCI	31 Dec 2013
	Shs'000	Shs'000	Shs'000	Shs'000
Assets:				
Leave pay accrual	(9,854)	(299)	-	(10,153)
Excess depreciation over capital allowances				
- current year	(272,756)	49,324	-	(223,432)
- prior year	-	62,851	-	62,851
Collective allowance for impairment	(185,785)	(127,364)	-	(313,149)
Other provisions	(214)	214	-	-
Tax losses	(22,603)	(15,866)	-	(38,469)
	(491,212)	(31,140)	-	(522,352)
Liabilities:				
Available for sale financial assets				
- Current year	174,161	-	(249,335)	(75,174)
- Prior year	-	-	187,357	187,357
Revaluation surplus	59,419	-	16,818	76,237
Exchange differences on translation	-	-	5,144	5,144
Deferred income tax asset	(257,632)	(31,140)	(40,016)	(328,788)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

26) Deferred income tax (Continued)

Bank

Year ended 31 December 2014	1 Jan 2014	Charge/ (Credit) to profit or loss	(Credit)/ charge to OCI	31 Dec 2014
	Shs'000	Shs'000	Shs'000	Shs'000
Assets:				
Leave pay accrual	(9,435)	(503)	-	(9,938)
Gratuity provision	-	(1,509)	-	(1,509)
Excess depreciation over capital allowances				
- Current year	(273,522)	(8,398)	-	(281,920)
- Prior year	62,851	(6,411)	-	56,440
Collective allowance for impairment	(274,684)	105,371	-	(169,313)
	(494,790)	88,550	-	(406,240)
Liabilities:				
Available for sale financial assets				
- Current year	(71,074)	-	104,606	33,532
- Prior year	187,357	-	-	187,357
Revaluation surplus	76,238	-	-	76,238
Deferred income tax asset	(302,269)	88,550	104,606	(109,113)

Year ended 31 December 2013	1 Jan 2013	Credit to profit or loss	Charge/ (Credit) to OCI	31 Dec 2014
	Shs'000	Shs'000	Shs'000	Shs'000
Assets:				
Leave pay accrual	(9,688)	253	-	(9,435)
Excess depreciation over capital allowances				
- Current year	(281,661)	8,139		(273,522)
- Prior year		62,851		62,851
Collective allowance for impairment	(184,040)	(90,644)	-	(274,684)
	(475,389)	(19,401)	-	(494,790)
Liabilities:				
Available for sale financial assets				
- Current year	174,161	-	(245,235)	(71,074)
- Prior year	-	-	187,357	187,357
Revaluation surplus	59,420	-	16,818	76,238
Deferred income tax asset	(241,808)	(19,401)	(41,060)	(302,269)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

26) Deferred income tax (Continued)

As at 31 December 2014, the Group had accumulated tax losses available for future relief relating to NC Bank Uganda Limited.

Under the Kenyan legislation, with effect from 1 January 2011, tax losses can only be carried forward to a maximum of four years. In Uganda, however, the tax losses can be carried forward for an indefinite period.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27) Property and equipment

Group

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work in progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2013	370,000	1,520,525	60,647	80,456	2,031,628
Additions	-	210,268	4,604	88,562	303,434
Transfers - WIP	-	110,751	-	(110,751)	-
Disposals	-	(10,973)	(11,978)	-	(22,951)
Translation adjustments	-	(7,903)	5,814	5,528	3,439
At 31 December 2013	370,000	1,822,668	59,087	63,795	2,315,550
At 1 January 2014	370,000	1,822,668	59,087	63,795	2,315,550
Additions	516,000	211,206	26,299	55,896	809,401
Transfers - WIP	-	53,472	-	(53,472)	-
Disposals	-	(73,722)	(3,452)	-	(77,174)
Translation adjustments	-	(7,136)	849	371	(5,916)
At 31 December 2014	886,000	2,006,488	82,783	66,590	3,041,861
Comprising:					
Cost	660,617	2,006,488	82,783	66,590	2,816,478
Valuation – 2013	741,383	-	-	-	225,383
	886,000	2,006,488	82,783	66,590	3,041,861
DEPRECIATION					
At 1 January 2013	44,848	953,972	22,917	-	1,021,737
Charge for the year	11,213	225,883	12,012	-	249,108
Eliminated on disposals	-	(10,767)	(1,788)	-	(12,555)
Revaluation	(56,061)	-	-	-	(56,061)
Translation adjustments	-	(5,209)	(734)	-	(5,943)
At 31 December 2013	-	1,163,879	32,407	-	1,196,286
At 1 January 2014	-	1,163,879	32,407	-	1,196,286
Charge for the year	13,214	271,247	12,692	-	297,153
Eliminated on disposals	-	(51,724)	(3,452)	-	(55,176)
Translation adjustments	-	6,051	2,437	-	8,488
At 31 December 2014	13,214	1,389,453	44,084	-	1,446,751
NET BOOK VALUE					
At 31 December 2014	872,786	617,035	38,699	66,590	1,595,110
At 31 December 2013	370,000	658,789	26,680	63,795	1,119,264

Buildings were revalued at Shs 370 million as at 31 December 2013 by registered professional valuers, Knight Frank Valuers Limited, on an open market value basis by reference to market evidence of recent transactions for similar properties. The additional building was valued in January 2014 by Mwaka Musau Consultants at Shs 516 million. Buildings are revalued every 3-5 years. At 31 December 2014, the net book value of buildings based on original cost was Shs 118,323,000 (2013 – Shs 122,706,000). There were no capitalised borrowing costs related to the acquisition of property and equipment during the year (2013: Shs nil).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 681,333,000 (2013: Shs 692,934,000) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 148,275,000 (2013: Shs 168,875,000). Computer equipment is included under furniture, fittings and equipment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27) Property and equipment (Continued)

Bank

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work In progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2012	370,000	1,318,132	37,866	7,770	1,733,768
Additions	-	106,111	2,570	88,562	197,243
Transfers	-	93,056	-	(93,056)	-
Disposals	-	(10,913)	(11,978)	-	(22,891)
At 31 December 2013	370,000	1,506,386	28,458	3,276	1,908,120
At 1 January 2014	370,000	1,506,386	28,458	3,276	1,908,120
Additions	-	158,919	23,540	50,795	233,254
Transfers	-	43,128	-	(43,128)	-
Disposals	-	(27,700)	(3,452)	-	(31,152)
At 31 December 2014	370,000	1,680,733	48,546	10,943	2,110,222
Comprising:					
Cost	144,617	1,680,733	48,546	10,943	1,884,839
Valuation – 2013	225,383	-	-	-	225,383
	370,000	1,680,733	48,546	10,943	2,110,222
DEPRECIATION					
At 1 January 2013	44,848	889,409	13,899	-	948,156
Charge for the year	11,213	185,833	5,602	-	202,648
Eliminated on disposals	-	(10,745)	(1,788)	-	(12,533)
Revaluation	(56,061)	-	-	-	(56,061)
As 31 December 2014	-	1,064,497	17,713	-	1,082,210
At 1 January 2014	-	1,064,497	17,713	-	1,082,210
Charge for the year	13,214	195,153	6,920	-	215,287
Eliminated on disposals	-	(27,598)	(3,452)	-	(31,050)
Revaluation	-	-	-	-	-
As 31 December 2014	13,214	1,232,052	21,181	-	1,266,447
NET BOOK VALUE					
At 31 December 2014	356,786	448,681	27,365	10,943	843,775
At 31 December 2013	370,000	441,889	10,745	3,276	825,910

Buildings were revalued at Shs 370 million as at 31 December 2013 by registered, professional valuers, Knight Frank Valuers Limited, on an open market value basis by reference to market evidence of recent transactions for similar properties. The additional building was valued in January 2014 by Mwaka Musau Consultants at Shs 516 million. At 31 December 2014, the net book value of buildings based on original cost was Shs 118,323,000 (2013: Shs 122,706,000).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 676,472,000 (2013: Shs 676,947,000) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 139,857,000 (2013: Shs 148,890,000). Computers are included under furniture, fittings and equipment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28) Intangible assets

Bank			Group		
2014	2013		2014	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
548,776	629,560	Computer software	636,133	719,729	
-	-	Goodwill	409,426	375,426	
548,776	629,560	At 31 December	1,045,559	1,095,155	

Details of the intangible assets are as follows:

a) Computer software

Bank			Group		
Capitalised	Work-in	Total	Capitalised	Work-in	Total
Shs `000	Progress	Shs `000	Shs `000	Progress	Shs `000
	Shs `000			Shs `000	
COST					
At 1 January 2013					
958,343	-	958,343	1,089,115	2,903	1,092,018
-	-	-	6,056	-	6,056
103,717	44,698	148,415	111,999	44,698	156,697
32,601	(32,601)	-	35,504	(35,504)	-
1,094,661	12,097	1,106,758	1,242,674	12,097	1,254,771
At 31 December 2013					
1,094,661	12,097	1,106,758	1,242,674	12,097	1,254,771
At 1 January 2014					
-	-	-	20,372	-	20,372
31,793	63,865	95,658	41,464	63,865	105,329
6,117	(6,117)	-	6,117	(6,117)	-
1,132,571	69,845	1,202,416	1,310,627	69,845	1,380,472
At 31 December 2014					
AMORTISATION					
At 1 January 2013					
316,005	-	316,005	339,953	-	339,953
-	-	-	(1,784)	-	(1,784)
161,193	-	161,193	196,873	-	196,873
477,198	-	477,198	535,042	-	535,042
At 31 December 2013					
477,198	-	477,198	535,042	-	535,042
At 1 January 2014					
-	-	-	1,940	-	1,940
176,442	-	176,442	207,357	-	207,357
653,640	-	653,640	744,339	-	744,339
At 31 December 2014					
Net Book Value					
478,931	69,845	548,776	566,288	69,845	636,133
2014					
617,463	12,097	629,560	707,632	12,097	719,729
2013					

Assets of the Group with a gross value of Shs 236,419,000 (2013: Shs 222,294,000) are fully amortised but still in use. The notional amortisation charge on the assets would have been Shs 47,299,000 (2013: Shs 44,459,000).

The weighted average remaining useful life of intangible assets 2.9 years (2013: 3.5 years).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28) Intangible assets (Continued)

b) Goodwill

The goodwill consists of equity interest held by the Group in;

	2014		2013	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	69.84	251,996	68.97	251,996
NIC Securities	99.93	123,430	99.93	123,430
NIC Properties	100.00	34,000	-	-
At 31 December		409,426		375,426

Goodwill arising on consolidation represents the growth potential of NIC Bank Tanzania, NIC Securities and NIC Properties.

Impairment tests for goodwill

Management reviews the business performance of the above subsidiaries. The subsidiaries are deemed Cash Generating Units (CGU) by the Group. The recoverable amount of all CGUs has been determined based on value-in-use calculations which are based on key assumptions about budgeted performance. The budget assumptions reflect current trends, anticipated growth driven by the Group's strategy and management experience. In particular, the budget for NIC Bank Tanzania takes into account expected recovery in the business following successful rights issues.

Based on the results of the impairment tests performed, management believes that there is no impairment of the carrying value of the goodwill in any CGU. In addition, no impairment of the Bank's investments in subsidiary undertakings as referred to in note 25 was considered necessary.

29) Operating lease prepayments – Leasehold land

	Group and Bank	
	2014 Shs'000	2013 Shs'000
Cost		
At 31 December	10,000	10,000
Amortisation		
At 1 January	2,750	2,625
Charge for the year	125	125
At 31 December	2,875	2,750
Net book value	7,125	7,250

30) Customer deposits

Bank			Group	
2014 Shs'000	2013 Shs'000		2014 Shs'000	2013 Shs'000
37,028,373	37,034,059	Current	39,578,288	39,717,425
1,351,419	1,141,127	Savings	2,113,683	1,717,716
53,606,130	45,859,648	Term	57,869,924	49,820,455
805,156	201,355	Other	873,059	309,409
92,791,078	84,236,189	At 31 December	100,434,954	91,565,005
5.16%	4.71%	Weighted average effective interest	5.04%	4.37%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

30) Customer deposits (continued)

Customer deposits are financial instruments classified as liabilities at amortised cost. Included in term deposits are deposits which are at fixed interest rates whereas all other deposits are at variable rates.

Other deposits are those held as collateral for irrevocable commitments mainly under import letters of credit and performance bonds. Their fair value approximates the carrying amount.

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
92,791,078	84,152,901	Current	100,276,320	91,422,491
-	83,288	Non-current	158,634	142,514
92,791,078	84,236,189		100,434,954	91,565,005

31) Due to banking institutions

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
Maturing within 90 days:				
4,625,406	4,910,171	Due to banking institutions	5,411,664	5,896,334
2.97%	8.43%	Weighted average effective interest	2.87%	3.67%

Deposits due to banking institutions are financial instruments classified as liabilities at amortised cost. Balances due to banking institutions are current.

32) Borrowings

The Bank has an unsecured revolving medium term lines of credit for onward lending with;

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
1,595,883	1,887,941	Agence Francaise De Development (PROPARCO)	2,110,154	1,887,941
4,991,461	-	The International Finance Corporation (IFC)	4,991,461	-
1,521,373	1,740,228	The Dutch Development Finance Institution, FMO	1,521,373	1,740,228
5,735,492	-	Medium term note	5,735,492	-
13,844,209	3,628,169		14,358,480	3,628,169

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
794,397	28,766	Payable within one year	843,429	28,766
1,661,953	1,248,035	Payable after one year and within three years	2,127,192	1,248,035
11,387,859	2,351,368	Payable after three years	11,387,859	2,351,368
13,844,209	3,628,169		14,358,480	3,628,169
6.58%	3.34%	Weighted average effective interest	6.57%	3.34%

Borrowings are financial instruments classified as a liability at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

33) Due to group companies

Bank

	2014 Shs `000	2013 Shs `000
Deposits held - NIC Capital	178,038	101,903
- Mercantile Finance Company	5,210	5,210
- NIC Securities	381,109	312,725
- NIC Insurance Agents	34,982	28,381
Other payables - Mercantile Finance Company	42,020	42,020
- NIC Bank Tanzania	681	7,555
- NC Bank Uganda	167,412	40,186
	809,452	537,980

Balances due to group companies are current.

34) Other liabilities

Bank			Group	
2014 Shs'000	2013 Shs'000		2014 Shs'000	2013 Shs'000
413,915	294,561	Bills payable	415,942	306,567
1,229,368	1,278,536	Other payables and accruals	1,506,262	1,512,355
-	-	Preference shares	32,994	31,811
-	-	Legal and other claims	11,695	11,695
-	-	Trade payables	125,586	129,111
33,130	31,451	Leave pay provision	36,633	33,844
1,676,413	1,604,548	At 31 December	2,129,112	2,025,383

Other liabilities are current. Other liabilities, excluding non-financial assets, are classified as liabilities at amortised cost.

Legal and other claims relate substantially to a provision for charges brought against the Group by customers of the stock brokerage subsidiary, NIC Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided at 31 December 2014.

The preference shares relate to East African Development Bank (EADB) which invested TShs 650 million in 8% non-redeemable and non-cumulative preference shares issued by NIC Bank Tanzania in November 2004. The preference shareholders have the discretion to transfer to the existing shareholders or may convert their shares into ordinary shares upon attainment of certain covenants. Dividends on the preference shares are payable when there are sufficient cash resources at the date of declaration, subject to the business and industry requirements of the company, making of prudent reserves and provisions in general and complying with all applicable legislation.

35) Dividends

At the Annual General Meeting scheduled for 20 May 2015, a first and final dividend in respect of 2014 of Shs 1.00 per share (2013: final dividend of Shs 0.75 per share) amounting to a total of Shs 639,946,000 (2013: Shs 407,238,000) is to be proposed by the directors.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

35) Dividends (continued)

The total estimated dividend for the year to be paid is therefore Shs 1 per share (2013: Shs 1 per share) amounting to a total of Shs 639,946,000 (2013: Shs 542,984,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Group and Bank

The movement in unclaimed dividends is as follows:

	2014 Shs `000	2013 Shs `000
At 1 January	72,233	53,954
Final dividend declared	407,238	542,984
Interim dividend declared	-	135,746
Dividends paid	(396,588)	(660,451)
At 31 December	82,883	72,233

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5.0% for residents and 10.0% for non-residents.

36) Share capital and reserves

(a) Share capital and share premium

Group and Bank	Number of shares	Share capital Shs `000	Share premium Shs `000
Balance at 1 January 2013	542,984,148	2,714,921	1,208,799
Bonus and Rights issue expenses	-	-	(731)
Balance at 31 December 2013	542,984,148	2,714,921	1,208,068
Balance at 1 January 2014	542,984,148	2,714,921	1,208,068
Bonus Issue	54,298,415	271,492	(271,492)
Rights Issue	42,663,040	213,315	1,887,839
Bonus and Rights issue expenses	-	-	(93,160)
Balance at 31 December 2014	639,945,603	3,199,728	2,731,255

As at 31 December 2014 the authorised share capital of the Bank comprised of 800,000,000 (2013: 800,000,000) ordinary shares with a par value of Shs 5. The issued shares as at 31 December 2014 are 639,945,603 (2013: 542,984,148) and are fully paid. Issued and fully paid ordinary shares, which have a par value of Shs 5, carry one vote per share and carry a right to dividend.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at General Meetings of the Bank.

Premiums from the issue of shares are reported as share premiums. During the year, a portion of this was utilised to cater for the Rights Issue and related Rights Issue expenses.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

36) Share capital and reserves (Continued)

(b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustment arising from the valuation of buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

Group and Bank

The movement in revaluation surplus on property is as follows:

	2014 Shs`000	2013 Shs`000
At 1 January	189,545	155,083
Revaluation surplus on building net of deferred tax	-	39,243
Transfer of excess depreciation	(6,830)	(6,830)
Deferred tax on excess depreciation	2,049	2,049
At 31 December	184,764	189,545

(c) Investments revaluation reserve

This represents the unrealized increase or decrease in the fair value of available-for-sale investments after deduction of deferred income taxes, excluding impairment losses. The reserve is not available for distribution to the shareholders.

(d) Foreign currency translation reserve

The reserves represent exchange differences arising from translation of the net assets of the Group's foreign operations which are NIC Bank Tanzania Limited and NC Bank Uganda Limited from their functional currency (Tanzania Shillings and Uganda Shillings respectively), to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the foreign currency translation reserve in equity. The reserve is not available for distribution to the shareholders.

(e) Regulatory reserve(s)

Where impairment losses required by prudential guidelines issued by the banking regulators exceed those computed under the International Financial Reporting Standards (IFRS), the excess is recognised as a regulatory reserve and accounted for as an appropriation from retained earnings. The reserve is not available for distribution to the shareholders.

(f) Other reserve

The reserve relates to transactions with non-controlling interests that do not result in loss of control. It is the difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary. The Group increased its shareholding in NIC Tanzania Limited and NIC Securities Limited during the year. See the respective disclosures under notes 37 (a) and (b).

(g) Retained earnings

This represents undistributed profits from current and previous years.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

37) Non-controlling interests

The total non-controlling interest consists of equity interest in subsidiaries;

	2014		2013	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	30.16	477,574	31.03	377,206
NIC Securities	-	-	0.07	306
At 31 December		<u>477,574</u>		<u>377,512</u>

a) NIC Bank Tanzania

On 1 May 2009, the Group acquired a 51% stake in one of Tanzania's mid-sized commercial bank, Savings & Finance Commercial Bank Ltd, later renamed NIC Bank Tanzania Limited. NIC Bank Tanzania Ltd was founded as a non-bank financial institution in 1994, converted to a fully-fledged commercial bank in 2005 and has branches in Dar es Salaam (2), Mwanza (1), Arusha (1) and Kahama (1). Through direct buy-outs and additional rights issues, NIC Bank Limited increased its shareholding from 51% to 68.97% in 2013. This has been further increased in 2014 to 69.84% through the taking up of rights not exercised by minority shareholders.

The effect of changes in ownership interest of NIC Bank Tanzania in equity attributable to the owners of the bank is summarised as follows:

	2014 Shs'000
Carrying amount of non-controlling interest acquired	13,339
Consideration paid for the interests	<u>(16,008)</u>
Excess of consideration paid recognised in parent's equity	<u>(2,669)</u>

Movement in non-controlling interests

	2014 Shs'000	2013 Shs'000
At 1 January	377,206	486,558
Carrying amount of non-controlling interest acquired by the Group	(13,339)	(178,404)
Additional shares acquired through rights issue	117,889	155,157
Share of loss for the year	<u>(4,182)</u>	<u>(86,105)</u>
At 31 December	<u>477,574</u>	<u>377,206</u>

b) NIC Securities

On 31 December 2007, the Bank acquired 57.7% of NIC Securities Limited (formerly Solid Investment Securities Limited) through its wholly owned subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the Group increased its shareholding in the subsidiary to 91.34% in 2009.

Through direct buy-out, the Group further increased its shareholding in the subsidiary to 100% in 2014.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

37) Non-controlling interests (Continued)

b) NIC Securities (Continued)

The effect of changes in ownership interest of NIC Securities in equity attributable to the owners of the bank is summarised as follows:

	2014 Shs'000
Carrying amount of non-controlling interest acquired	306
Consideration paid for the interests	<u>(683)</u>
Excess of consideration paid recognised in parent's equity	<u>(377)</u>

Movement in non-controlling interests

	2014 Shs'000	2013 Shs'000
At 1 January	306	34,976
Carrying amount of non-controlling interest acquired by the Group	(306)	(34,695)
Share of profit for the year	<u>-</u>	<u>25</u>
At 31 December	<u>-</u>	<u>306</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38) Off balance sheet financial instruments, contingent liabilities and commitments

a) Contingent liabilities

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
3,374,438	4,763,734	Letters of credit	3,490,696	5,177,622
		Letters of guarantee & performance bonds		
13,633,024	10,168,363		13,793,897	10,557,519
17,007,462	14,932,097	At 31 December	17,284,593	15,735,141

In the ordinary course of business, the Group conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the statement of financial position.

Letters of credit are commitments by the Group to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the Group, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers.

(b) Operating lease prepayments

i) The group as a lessor

At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables:

Group and Bank

	2014	2013
	Shs'000	Shs'000
Within one year	2,750	2,788
In the second to fifth year inclusive	10,013	12,763
At 31 December	12,763	15,551

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months' notice to vacate the premises.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38) Off balance sheet financial instruments, contingent liabilities and commitments (Continued)

b) Operating lease prepayments (Continued)

ii) The group as a lessee

At the end of the reporting period, the Group had non-cancellable operating leases which fall due as follows:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
		Premises		
167,948	127,051	Within one year	244,437	139,940
425,490	337,385	In the second to fifth year inclusive	686,365	408,570
593,438	464,436	At 31 December	930,802	548,510
		Office equipment		
2,615	2,422	Within one year	2,615	2,422
113	119	In the second to fifth year inclusive	113	119
2,728	2,541	At 31 December	2,728	2,541

Operating lease payments represent rentals payable by the Group for its business premises and office equipment. Premises leases are negotiated for an average term of 6 years, while office equipment is for an average term of 3 years. For these contingent liabilities, no reimbursement is expected.

c) Capital commitments

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
-	38,000	Authorised and contracted for	-	70,866
680,640	453,940	Authorised but not contracted for	680,640	534,956
680,640	491,940	At 31 December	680,640	605,822

The capital commitments largely relate to branch expansion activities and software acquisition. The Group's management is confident that future net revenues and funding will be sufficient to cover this commitment.

d) Legal proceedings

Besides of the provision made (see note 34), various claims against the Group are considered without merit, and the Bank is defending them vigorously. It is not possible to estimate the Bank's possible loss in relation to these matters, nor the effect that they might have upon operating results in any particular financial period. No contingent liability associated with legal actions has been disclosed as professional advice indicates that it is unlikely that any significant loss will arise.

e) Other credit commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The Group may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

39) Notes to the consolidated statement of cashflows

a) Cash used in operations

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
Reconciliation of profit before income tax to cash used in operations				
6,081,281	5,220,857	Profit before income tax	6,230,650	5,009,571
Adjustments for:				
215,287	202,648	Depreciation (note 27)	297,153	249,108
125	125	Amortisation of operating lease prepayments	125	125
-	-	Loss on revaluation of investment in unquoted equity investment in NSE	-	-
176,442	161,193	Amortisation of intangible assets (note 28)	207,357	196,873
-	-	Gain on revaluation of fair value through profit and loss investments	-	-
(1,151)	(1,749)	Gain on sale of motor vehicle and equipment (note 39 (c))	23,243	(1,749)
6,471,984	5,583,074	Profit before working capital changes	6,758,528	5,453,929
(473,056)	(397,685)	Increase in balances with central banks – Mandatory reserve deposits	(535,039)	(536,373)
(16,961,541)	(10,732,872)	Increase in loans and advances to customers	(18,548,822)	(11,953,221)
-	-	Outflows on purchase of quoted shares - held for trading	-	(6,529)
(2,984,550)	(1,268,789)	Increase in Government securities maturing after 90 days	4,203,136	(1,777,460)
(77,549)	37,492	Decrease in derivatives held for risk management	(70,649)	35,074
(130,142)	(575,318)	Decrease/(increase) in other assets	(423,753)	(617,464)
271,472	(513,292)	Due (from)/ to group companies	-	-
8,554,889	6,770,147	Increase in customer deposits	8,869,949	8,185,429
(71,871)	110,317	Decrease in other liabilities	786,710	79,637
10,216,040	(27,245)	(Decrease)/increase in borrowings	10,730,311	(27,245)
4,815,676	(1,072,049)	Cash used in operations	3,364,099	(1,164,223)

b) Cash and cash equivalents

Analysis of balances of cash and cash equivalents as shown in the consolidated statement of financial position and notes.

Bank				Group	
2014	2013			2014	2013
Shs'000	Shs'000		Note	Shs'000	Shs'000
4,323,580	2,735,081	Cash and balances with central banks	17	4,969,263	3,708,350
484,521	215,693	Items in course of collection	18	519,958	243,514
7,843,903	4,189,408	Due from banking institutions	19	8,753,909	5,920,199
202,520	2,679,288	Government securities	20	696,965	3,585,870
(4,625,406)	(4,910,171)	Due to banking institutions	31	(5,411,664)	(5,896,334)
8,229,118	4,909,299	At 31 December		9,528,431	7,561,599

NOTES TO THE FINANCIAL STATEMENTS (Continued)

39) Notes to the consolidated cash flow statement (Continued)

c) Proceeds from sale of motor vehicle and equipment

Bank				Group	
2014	2013			2014	2013
Shs'000	Shs'000		Note	Shs'000	Shs'000
31,152	22,891	Disposal at cost	27	77,174	22,951
(31,058)	(12,533)	Depreciation eliminated on disposal	27	(55,176)	(12,555)
1,151	1,749	Gain/ (Loss) on disposal of motor vehicle and equipment	11	(23,243)	1,749
1,245	12,107	Proceeds from sale of motor vehicle and equipment		1,245	12,145

40) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

There are other companies which are related to NIC Bank Limited through common shareholdings or common directorships.

In the normal course of business, a number of banking transactions are entered into with related parties i.e. staff, directors, their associates and companies associated with directors. These include loans, deposits and foreign currency transactions. Loans and advances to customers at 31 December include loans and advances to staff and to companies associated with directors. Contingent liabilities at 31 December include guarantees and letters of credit for companies associated with directors.

Loans and advances to customers:

Companies associated with directors

Bank				Group	
2014	2013			2014	2013
Shs'000	Shs'000			Shs'000	Shs'000
703,950	973,236	At 1 January		703,950	989,364
333,014	(269,286)	Net movement during the year		376,010	(285,414)
1,036,964	703,950	At 31 December		1,079,960	703,950
76,431	67,141	Interest earned		78,456	67,141
627,989	429,303	Guarantees and letters of credit to companies associated with directors		627,989	429,303

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

40) Related party transactions (Continued)

Loans and advances to customers (Continued):

Directors and key management personnel

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
		Loans and advances to customers:		
4,263	23,871	At 1 January	14,072	33,680
63,971	(19,608)	Net movement during the year	78,298	(19,608)
68,234	4,263	At 31 December	92,370	14,072
4,567	358	Interest earned	6,785	358

These loans and advances are performing and are adequately secured.

Customer deposits

Companies associated with directors

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
4,864,462	3,249,503	At 1 January	4,957,594	3,400,490
(657,140)	1,614,959	Net movement during the year	(741,485)	1,557,104
4,207,322	4,864,462	At 31 December	4,216,109	4,957,594
197,567	219,658	Interest paid	198,574	221,573

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

Directors and key management personnel

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
		Customer deposits		
116,713	118,981	At 1 January	120,442	133,038
(111,705)	(2,268)	Net movement during the year	(93,414)	(12,596)
5,008	116,713	At 31 December	27,028	120,442
2,378	4,867	Interest paid	2,478	4,867

Other amounts outstanding at the end of the reporting period are disclosed in notes 24 and 33.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

40) Related party transactions (Continued)

Key management compensation

The remuneration of directors and other members of key management during the year was as follows:

Bank			Group	
2014	2013		2014	2013
Shs'000	Shs'000		Shs'000	Shs'000
290,351	284,065	Salaries and other benefits	392,612	374,679
		Directors' remuneration		
14,551	13,570	Fees for services as directors	31,562	23,512
		Other emoluments (included in key management compensation above)		
133,908	138,712		188,836	193,119
148,459	152,282		220,398	216,631

In line with policy, the above compensation is a consolidated salary package encompassing all employment benefits and pension.

41) Assets pledged as security

As at 31 December 2014, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2013: nil).

42) Fiduciary activities

The Group holds asset security documents on behalf of customers with a value of Shs 60,254,564,000 (2012: Shs 50,555,796,000). These securities are held by the custody services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.

